

Block 3

Monetary Policy

Unit 7	Central Bank: Its Role in Monetary Policy
Unit 8	Central Bank: Its Role as Regulator of the Banking System
Unit 9	Monetary Policy in India: Transmission Mechanism

UNIT 7 CENTRAL BANK: ITS ROLE IN MONETARY POLICY

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7.0 OBJECTIVES

Having completed this unit, you will be able to:

- explain the concept of targets to be followed by the central banks;
- describe the various instruments of monetary policy;
- highlight the impact of global financial crisis on central banks;
- examine the use of unconventional instruments to tackle the challenges arising from financial crisis;
- compare the conventional and unconventional instruments in achieving the targets; and
- analyse the inflation targeting objective of RBI.

7.1 INTRODUCTION

Without doubt, money and monetary policy have evolved considerably. A monetary policy requires an arrangement of institutional practice to ensure that the right amount of money is made available to facilitate trade in an economy. It is no simple task to set the correct relative prices between various types of monies and goods and decide on how to get the right amount of money into circulation. Indeed, it can be argued that fiscal and monetary policy should *run in tandem*, so that in managing the latter attention is paid to the former and information is exchanged in the pursuit of the objectives jointly. It is worthwhile to recall that the nature and scope of the regulation of financial intermediation is closely linked to the monetary policy regime. In principle, there is a trade-off between designing instruments to stabilise the financial system and prevent excessively volatile financial outcomes, ensuring that financial sector retains appropriate incentives to create investment opportunities and allocate funds accordingly.

The ultimate decisions in policymaking may be based on judgements and that could, unfortunately remain faulty, even in the presence of right information and foresight. This unit provides information about various aspects of targets and instruments of monetary policy. It also discusses inflation targeting in India and reviews what RBI does to set targets and use of the instruments to achieve them.

7.2 TARGETS OF MONETARY POLICY

The formal mandate of the central bank differs significantly across countries. *De facto*, though, central banks across the world appear to be increasingly pursuing a single nominal target. By and large, this single nominal target is an inflation target. It is desirable for monetary policy to target something it can actually hope to deliver, on an average and over time. The question relating to the choice of appropriate target for conducting monetary policy goes into the basic question of the interrelationship between money, output and prices. In general, most central banks have a broad mandate that includes not only price (or exchange rate) stability, but also the safeguarding of financial stability, as well as the promotion of economic growth, and, sometimes, financial development. The growth objective has also come to the forefront. To fulfil these multiple objectives within the constraints imposed by a particular policy regime, central banks use all available tools, including cooperation in some instances with fiscal authorities and other policymakers. Importantly, interest rates and foreign exchange intervention may not be sufficient to resolve the policy dilemmas resulting from the impact of external factors on the domestic financial system.

There is a two-way street of monetary policy operating through financial markets and financial markets feeding back into monetary policy. The problem of central bank is compounded by the fact that their instruments do not directly affect the goals. The instruments affect variables such as money

supply and interest rates, which then affect goal variables with a lag. In addition, these lags may be uncertain. Due to these problems, in the conduct of monetary policy, a distinction is made among:

- i) goals (or objectives),
- ii) targets (or intermediate targets),
- iii) indicators (or operational targets), and
- iv) instruments (or tools).

Target and indicator variables lie between goal and instrument variables. Target variables such as money supply and interest rates have direct and predictable impact on goal variables and can be quickly and more easily observed. Target variables are not directly affected by central bank instruments. The instruments affect target variables, through another set of variables called indicators. These indicators such as monetary base and short run interest rates are more responsive to instruments.

The conduct of monetary policy can be represented schematically as follows:

Instruments → Indicators → Targets → Goals

Following is the list of different kinds of variables.

Table 7.1: Kinds of variables

Goals or Objectives

- i) High Employment.
- ii) Economic Growth.
- iii) Price Stability.
- iv) Interest-Rate Stability.
- v) Stability of Financial Markets.
- vi) Stability in Foreign Exchange Markets.

Targets or Intermediate Targets

- i) Monetary Aggregates (M1, M2, M3 etc.).
- ii) Short Run and Long Run Interest Rates.

Indicators or Operational Targets

- i) Monetary Base or High-Powered Money.
- ii) Short Run Interest Rate (Rate on Treasury Bill, Overnight Rate).

Instruments or Tools

- i) Open Market Operations.

- ii) Reserve Requirements.
- iii) Operating Band for Overnight Rate.
- iv) Bank Rate.

(Source: <http://web.uvic.ca/~kumara/econ506/lecture4.pdf>)

Despite listing six goals, it does not mean that different countries and regimes give same weight to all these goals. Different goals may get different emphasis in different countries and over times. All the goals may not be compatible with each other. For instance, goal of price stability may conflict with the goals of high employment and stability of interest rate at least in the short run.

Three criteria determine how the target variables are chosen. These are: (i) measurability, (ii) controllability, and (iii) predictable effects on goals. Quick and accurate measurement of target variables is necessary because the target will be useful only if it signals rapidly when policy is off-track. For a target variable to be useful, a central bank must be able to exercise effective control over it. If the central bank cannot exercise effective control over it, knowing that it is off-track is of little help. Finally, and most importantly, target variables must have a predictable impact on goal variables. If target variables do not have predictable impact on goal variables, the central bank cannot achieve its goal by using target variables. Monetary aggregates and short and long run interest rates satisfy all three criteria. The same three criteria are used to choose indicators. They must be measurable, the central bank should have effective control over them, and they must have predictable effect on target variables. The general conclusion is that if the main source of disturbance in the economy is shocks to goods market (IS curve), then targeting money supply (or using money supply tool) is optimal. On the other hand, if the main source of disturbance is shocks to demand for money or financial market (LM curve), then targeting interest rate is optimal.

Check Your Progress 1

- 1) What do you mean by targets of Monetary Policy ?

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- 2) Distinguish between following elements of Monetary Policy: goals (objectives), intermediate targets, indicators (or operational targets), and instruments.

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3) What are the objectives of monetary policy?

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7.3 INSTRUMENTS OF MONETARY POLICY

The lesson learnt from the global financial crisis has led central bankers to delve into uncharted territory adopting hitherto unheard-of unconventional policies. Central banks have rediscovered their role as the *Lender of Last Resort* (LoLR). The current trend worldwide and the present debate within the country suggests that the end of stratification between sectors and consolidation within sub-sectors would be inevitable. The complexity of the transactions and large funding requirements demand an innovative approach towards financial structuring and the use of a variety of financial instruments. However, suitable prudential norms must be in place and adhered to, for the process to function smoothly. Only central banks have the requisite market pulse and instruments to make contextual judgments.

7.3.1 Conventional Instruments

When a nation's economy becomes "overheated" – growing rapidly to the point that inflation increases to uncomfortable levels – the central bank enacts restrictive monetary policy to tighten the money supply. This effectively reduces the amount of money in circulation and also the rate at which new money enters the system. Raising the target interest rate makes money more expensive and increases borrowing costs, reducing the demand for cash and cash instruments. The bank may increase the level of reserves that commercial and retail banks must keep on hand, limiting their ability to generate new loans. The central bank can also sell government bonds from its balance sheet in the open market, exchanging those bonds by taking in money from circulation. When a nation's economy slips into recession, these policy tools can be operated in reverse, constituting a loose or expansionary monetary policy. Interest rates are lowered, reserve limits loosened, and instead of selling bonds in the open market, they are purchased in exchange for newly created money.

7.3.2 Unconventional Instruments

According to *Deepak Mohanty* of RBI, "when central banks look beyond their traditional instrument of policy interest rate, monetary policy takes an unconventional character." An unconventional policy instrument is defined as any instrument of the central bank that does not depend for its operation on changing the risk-free nominal interest rate now or in the future. Unconventional monetary policy spans from quantitative easing to debt monetisation. In other words, the term "unconventional" means policy instruments other than standard tools such as interest rates or foreign exchange market intervention. These unconventional measures are:

- i) liquidity provision to banks on extraordinary terms, especially at longer maturities, in order to alleviate pressures in the interbank market;
- ii) intervention in selected credit markets to support secondary market liquidity and credit pricing and supply; and
- iii) outright bond purchases aimed at easing financing conditions beyond what could be achieved by policy rate cuts.

The rationale for the use of unconventional Central bank policy instruments is fairly straight forward. One can group these unconventional instruments into three broad categories:

- i) unconventional monetary policy and macro-prudential tools aimed at offsetting the financial implications of capital flows;
- ii) balance sheet policies other than foreign exchange intervention; and
- iii) fiscal and quasi-fiscal measures to offset the domestic consequences of foreign exchange intervention.

Following are the main policy tools:

- i) quantitative easing (QE);
- ii) forward guidance;
- iii) negative interest rates;
- iv) overt monetary financing of fiscal deficits; and
- v) debt monetisation.

QE has been crucial to avert financial meltdown, and has had some effects on the macro-economy. Yet there are reasons to be critical about its effectiveness for macroeconomic stabilisation relative to its costs and risks. QE has dramatically increased base money, but not the money supply that drives aggregate demand. A major factor conditioning the macroeconomic effects of QE is its interaction with fiscal policy. Pulling QE alongside a restrictive fiscal policy is like pushing on the car's accelerator and brake pedals at the same time, which is what has happened in the US and UK.

So-called '*helicopter money*' policies – those in which government spending or transfers to households are paid for by printing money – involve both monetary and fiscal policy. This means they require extraordinary cooperation between the government and the central bank, which potentially undermines central-bank independence. However, emergency policies of this type may be justified during extreme systemic crises. Injections of helicopter money can increase net wealth and thus stimulate spending, and this

mechanism is particularly important when conventional monetary policy is stuck at the zero lower bound.

Table 7.2 offers a snapshot of what is considered to be the main features of each policy type. In the table 7.2, policies are reported from left to right in ascending order of the directness of their impact on spending – from those that rely on changes in prices and expectations to those that affect spending by adding money balances to the economy.

Table 7.2: Unconventional monetary policies: A synopsis

Policy Types Indicators	FG	NIR	QE	DM	OMF	NC
Impact on aggregate demand: - Transmission channel - Effectiveness	Indirect (via expectations on future interest rates) Short gestation Limited by ZLB Uncertain impact	Indirect (via interest rates) Short gestation Poor public acceptance Strong and quick impact	Indirect (via assets prices and inflation expectations) Short gestation Slow and moderate impact	Indirect (via regained fiscal space) Long gestation Quick, strong, and long lasting impact	Direct (via helicopter money balances) Long gestation Quick and strong impact	Direct (via helicopter money balances) Long gestation Quick and strong impact
Central bank independence	Unhindered	Unhindered	Unhindered	Central bank /Government cooperation required	Central bank /Government cooperation required	Central bank not involved in complementary money policy

FG = forwarding guidance

NIR = negative interest rate

QE = quantitative easing

DM = debt monetisation

OMF = overt monetary financing of fiscal deficits with extreme neo-chartlist form

NC = neo-chartalism

(Source: <https://voxeu.org/article/unconventional-monetary-policies-revisited-part-ii>)

The policies that have greater direct impact on spending (overt monetary financing, neo-chartalism) are those that combine expansionary fiscal impulses with permanent monetary financing (“helicopter money”). This combination requires a degree of cooperation between the government and the central bank, with implications for central-bank independence. Government (and political) involvement, as well as the necessary coordination with the central bank, entail longer policy gestation periods than for policies involving the central bank exclusively (forward guidance, negative interest rates, and QE). On the other hand, the transmission from the fiscal plus-monetary policy impulse to the spending response – which is inherent in helicopter money options – is more direct, quicker and stronger.

Effective macro-prudential regulation and supervision is being devised to take care of systemic risks that lead to such financial instability. The macro-prudential approach focuses not only on individual balance sheets but also interconnectedness and the network externalities that they generate. This is expected to take care of systemic risks. The macro prudential approach to regulating institutions and markets is now a key plank of central banks’ efforts towards maintaining financial stability.

This includes several types of balance-sheet policies where the central bank purchases assets (for example through quantitative easing or credit easing), emergency lending, and subsidized access to central-bank credit. Unconventional policy as defined also includes ‘macro-prudential’ policy instruments that place restrictions on borrowing independently of interest rates.

QE injects money to owners of assets (e.g., traders, hedge funds, investors, banks, high wealth individuals, and speculators) who benefit from QE-stirred bond and asset-price rises, but represent a tiny minority with a low propensity to consume. Conversely, QE does not reach common people (with higher propensity to consume). Indications are that QE has significant distributional effects.

7.3.3 Comparing Conventional and Unconventional Instruments

It is important to have a good understanding of the unconventional policies and how they differ from the conventional ones. Overall non-conventional tools would seem to have some financial stability considerations. According to *Lorenzo Bini Smaghi* (Member of the Executive Board of the European Central Bank) the decision whether to embark on non-conventional monetary policy measures, which specific ones and for how long depends on a series of considerations, including the overall conditions of the economy, in particular the presence of deflationary pressures and the effective constraint provided by the zero lower bound for interest rates, the structure of the financial flows in the economy, the medium term incentives that would be created for the private sector and the risks entailed in the exit strategy, including for the independence and credibility of the central bank. Some measures present

greater advantages, in terms of providing the right incentives and being easily reversible. Others present more risks and have to be well targeted and used under specific circumstances.

7.3.4 The Transmission Mechanism

The relationship between the central bank's instrument and the target variables is often referred to as the monetary policy transmission mechanism. In fact, this also involves a number of other economic variables and relations. The short-term interest rate determined by the central bank and the target variables (e.g. the exchange rate or inflation and the output gap) will be included along with other macroeconomic variables such as consumption, investment, government budget balance, balance of payments, long-term interest rate and relevant foreign variables. Influences from abroad may also lead to shifts in the transmission mechanism. The relationship between the monetary policy instrument and the targets is not invariant, and the central bank must therefore be ready to adjust its monetary policy if the relationship changes. Since fiscal policy plays an important role in the central bank's ability to reach its targets, adjustment of fiscal policy may be necessary if monetary policy alone cannot ensure that the monetary policy targets are met.

Dynamic transmission: If changes to the monetary policy instrument have a delayed effect on the monetary policy targets, the central bank's task becomes considerably more difficult. When monetary policy is based on flexible inflation targeting, the relationship is dynamic since the target is to control inflation in the medium term. The central bank changes its short-term interest rate in order to influence inflation e.g. two years ahead. This means that the central bank cannot immediately assess whether an adjustment of the monetary policy instrument has the desired impact on its target variable. It is clear that the horizon for the monetary policy target is of major importance to the "to technique" of the central bank's implementation of monetary policy and to its external communication.

Stochastic transmission: This transmission mechanism has been described as a deterministic relation. In practice, however, the transmission from the monetary policy instrument to the targets is subject to uncertainty. When the central bank changes its short-term interest rate, the effect on the exchange rate or the future inflation is not known precisely. The importance of this depends on whether the relationship between the instrument and the targets is dynamic. The longer and more complex the transmission mechanism, the greater the risk that e.g. unexpected shocks to the economy prevent the central bank from meeting its targets.

7.4 GLOBAL FINANCIAL CRISIS AND CENTRAL BANKS

In response to the global financial crisis central banks have embarked on a variety of unconventional monetary policies. Attempts were made to make money easier and cheaper through an increase in supply of money and credit

easing. As the crisis erupted, major central banks intervened to fix the broken financial markets by starting *quantitative easing* (QE). They committed to issuing liquidity by purchasing assets (including toxic) from banks and nonbanks, at a time when banks stopped lending to each other, households and firms were credit squeezed, and policy rates were running against the zero lower bound. When the crisis spilled over to the real sector, the objective of QE in some countries shifted from financial markets repair to revamping economic activity (“a step into the dark”, as Raghuram *Rajan*, former Governor of RBI dubbed it). In the US, UK, and Japan, QE turned at stimulating demand by lowering the cost of money and by raising inflation expectations (Bank of England 2011).

The global financial crisis has made monetary policy the first line of defence to stimulate developed economies like USA through measures such as quantitative easing and other unconventional tools, since the policy rate was already zero or close to zero. It has raised the issue of redefining the role of central banks like never before and has led to a debate on widening the mandates of central banks in respect of:

- i) price stability and financial stability,
- ii) sovereign debt management,
- iii) management of capital
- iv) flows, liquidity management,
- v) communication with the public, etc.

It has also raised the issue of governance of central banks, their independence and accountability. The global financial crisis also revealed the need for further improving the co-ordination between the central banks and the governments, since they have become increasingly dependent on each other even at an international level. In this context, the G-20 has emerged as an important forum so that the regulatory response is well coordinated internationally to ensure that the new regulatory framework is effective and globally implemented and the follies of the past that led to the financial crisis are not repeated.

In the aftermath of the global financial crisis, financial stability has truly come to the centre stage. The term “financial stability” is usually interpreted conceptually as a persistent state of robust functioning of various financial system components — markets, institutions, market infrastructure — endowing the system to face any endogenous or exogenous financial shock with minimal disruptive impact. The lesson from the crisis is that financial stability is a necessary, though not sufficient, condition for the central bank to deliver on its mandate. Pre-crisis regulation focused more on stability of individual institutions, whereas, the crisis underscored the importance of focusing on systemic stability. In that context, *macro-prudential policies* refer to the use of prudential tools with the explicit objective of promoting the

stability of the financial system as a whole, not necessarily of the individual institutions within it.

After the crisis, the interest on central bank balance sheets has increased. During the crisis and in its aftermath, central bankers everywhere realised that proper communication of their policy is as important as its content. It has now become standard practice for central banks to indicate the policy rates, the rationale behind the policy action, expected outcomes and often provide forward guidance on their future policy actions. The growing consensus after the crisis is that central banks need to also guard against the development of financial imbalances and should not be too narrowly focused on “inflation targeting”. The crisis has also demonstrated the difficulties of conducting monetary policy in a globalised world. In India too, RBI’s communication has become more transparent in recent monetary policies.

Check Your Progress 2

- 1) What are conventional instruments?
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- 2) What was the need for adopting unconventional instruments?
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- 3) What are the main policy tools of unconventional measures?
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- 4) Make a brief comparison of conventional and unconventional instruments. What is transmission mechanism?
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- 5) What issues have been raised by the global financial crisis which redefine the role of central banks?
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7.5 RBI'S MONETARY POLICY TARGET: INFLATION TARGETING (IT)

Until recently, India's central bank used to take its monetary policy decisions based on the multiple indicator approach. Its rate decisions were expected to take into account inflation, growth, employment, banking stability and the need for a stable exchange rate. A certain amount of target flexibility and balancing of conflicting objectives are unavoidable.

Inflation targeting is a monetary policy strategy used by Central Banks for maintaining price level at a certain level or within a range. It indicates the primacy of price stability as the key objective of monetary policy. The argument for price stability stems from the fact that rising prices create uncertainties in decision making, adversely affecting savings and encouraging speculative investments. On the recommendation of an Expert Committee under *Urijit Patel*, RBI abandoned the '*multiple indicator*' approach and made inflation targeting the primary objective of its monetary policy. It also mooted having an MPC so that these decisions could be made through majority vote. Having both Government and RBI members on the MPC was suggested for accountability. The Government would have to keep its deficit under check and RBI would owe an explanation for runaway inflation. Monetary policy decisions by central banks can have far-reaching implications for the economy, investors, savers and borrowers. And if seen to be taken by an individual, these decisions can cause a lot of heartburn. Therefore, globally many governments have solved this problem by appointing a committee.

India adopted an inflation target of 4 per cent with a range of ± 2 per cent for next five years under the monetary policy framework. The range accommodates data limitations, projection errors, short-run supply gaps and instability in agriculture production, an important factor for CPI inflation. Food articles account for a major weight in the indices. . When the Reserve Bank of India fails to meet the inflation target, it will send a report to the central government stating reasons and remedial actions that will be taken. A breach of the "*tolerance level*" for three consecutive quarters will constitute a failure of monetary policy.

Inflation targeting (IT) is an effective monetary policy, which provides a better nominal anchor for monetary policy and inflation expectations. Inflation targeting enables the central banks to set long-run inflation objective. Some of the most significant empirical benefits of inflation targeting are:

- i) Increasing accountability and monetary policy transparency.
- ii) Taking care of time inconsistency. Time inconsistency impels the authorities in considering long term consequences of short-term actions.

- iii) IT helps in cutting down relative price variability and inflation expectations.
- iv) IT facilitates in predicting inflation.
- v) IT has the ability to lower the inflation - forecast errors.
- vi) IT has the ability to maintain price stability and prevent one-time shocks to inflation.

Statutory backing and institutional set up for decision making: Conduct of Monetary Policy under IT, on June 27, 2016, the Government amended the RBI Act to hand over the job of monetary policy-making in India to a newly constituted Monetary Policy Committee (MPC). The new MPC a six-member panel that is expected to bring “*value and transparency*” to rate-setting decisions. It has three members from the RBI — the Governor, a Deputy Governor and another official — and three independent members to be selected by the Government. The MPC meets four times a year to decide on monetary policy by a majority vote. And if there’s a tie between the ‘Ayes’ and the ‘Nays’, the RBI governor gets the deciding vote.

The MPC ensure that decisions on interest rates are made through debate by a panel of experts. The many-heads-are-better-than-one approach also help ensure that the decision isn’t easily influenced by bias or lobbying. India’s shift to an MPC, driven by a clear inflation-targeting framework, may ensure that consumers and investors can look forward to lower inflation rates over the long-term. There are several important lessons from the change in Indian inflation dynamics over the past few years:

- i) As inflation expectations stabilize, it makes sense for the RBI to look past sudden shock to core inflation such as the price impact of the move to the goods and services tax (GST). The case of food or fuel price shocks is more complicated, but monetary policy need not hastily respond to temporary price shocks, either by increasing or slashing interest rates.
- ii) Policy makers should be giving greater weightage to core inflation than before, not just in policy discussions but also in forecasting models. The RBI’s own inflation forecasting model — the Forecasting and Policy Analysis System — has parted ways with standard central bank forecasting models by taking a disaggregated look at food, fuel and core inflation.
- iii) There are two equal halves of the economy — a food sector with flexible prices and a non-food sector with sticky prices. Managing the two with a common monetary policy is a tricky job. Even the motivations of the people in these two sectors are different. Producers in the non-farm economy look ahead to make their decisions while producers in the farm economy look back (think of the cobweb model).

IT demands a number of pre-conditions for its successful implementation such as independence of central banks, well developed financial markets, flexible exchange rate, etc. Most emerging economies, including India, lack these conditions. Besides, RBI has objectives to take care of other parameters like economic growth, stable exchange rate and financial stability, and cannot restrict itself to the single objective of inflation.

7.6 INSTRUMENTS BEING USED BY RBI FOR ACHIEVING THE TARGETS

The *Reserve Bank of India* (RBI) uses the monetary policy to manage liquidity or money supply in a manner that balances inflation and at the same time aids growth.

A) *Quantitative Instruments or General Tools*

The Quantitative Instruments are also known as the General Tools of monetary policy. These tools are related to the Quantity or Volume of the money. The Quantitative Tools of credit control are also called as General Tools for credit control. They are designed to regulate or control the total volume of bank credit in the economy. These tools are indirect in nature and are employed for influencing the quantity of credit in the country. The general tool of credit control comprises:

- i) Bank rate.
- ii) Repo rate.
- iii) Reverse repo rate.
- iv) Cash Reverse Ratio (CRR).
- v) Statutory liquidity Ratio (SLR).
- vi) Open Market Operations (OMO).

B) *Qualitative Instruments or Selective Tools*

In addition to these measures, RBI also uses many qualitative tools to regulate credit flow and cost of credit to the economy and specific sectors within it. The qualitative instruments are also known as the selective tools of monetary policy. They are used for discriminating between different uses of credit. It can be discrimination favouring export over import or essential over non-essential credit supply. This method can have influence over the lender and borrower of the credit:

- i) Fixing Margin Requirements
- ii) Consumer Credit Regulation
- iii) Publicity
- iv) Credit Rationing

- v) Moral Suasion
- vi) Control Through Directives
- vii) Direct Action

The key challenge before the monetary management in the contemporary context is to modulate liquidity conditions in the financial markets consistent not only with the macroeconomic objectives but also with the market outcomes. There are now an array of monetary policy instruments. The shifts in the monetary policy transmission channels as a result of financial liberalisation necessitate policy impulses through both quantum and rate channels. The experience of sudden switches in capital flows has emphasised the need for swift policy reactions with a view to balancing the domestic and external sources of monetisation to maintain orderly conditions in the financial markets ensure price stability. As the price of the bulk of primary liquidity is now, more or less, market-determined, the Bank Rate now essentially acts as a signal of the Reserve Bank's medium-term monetary policy stance.

7.6.1 Liquidity Adjustment Facility (LAF)

In June 2000, the *Liquidity Adjustment Facility* (LAF) was adopted, which is increasingly emerging as the principal operative instrument of monetary policy, allows the Reserve Bank to manage market liquidity on a daily basis and at the same time, transmit interest rate signals to the market. The Reserve Bank is, thus, now able to manage liquidity through a market oriented mix of open market (including repo) operations reinforced by interest rate signals through changes in the Bank Rate and the repo rates, in addition to the traditional tools of changes in reserve requirements and refinance facilities. While the changes in the Bank Rate signal the medium-term perspective of the central bank, the changes in the LAF rates signal shifts in the day-to-day liquidity management.

As the primary instrument of monetary policy, the LAF has to mediate between the several objectives of the Reserve Bank's monetary policy. The quantum of absorption (injection) of liquidity and the price have to be determined bearing in mind not only the day-to-day liquidity position in the financial markets, including the foreign exchange markets but also the medium-term impact on price stability and growth. The multiple objectives pursued by the Reserve Bank along with the changes in the operating environment on account of technological advances pose a number of challenges. An important issue is the ability of the Reserve Bank to manage capital flows.

Fiscal dominance continues to be the critical issue in monetary management. In the past, the growing fiscal deficit and its monetisation by the Reserve Bank of India raised important issues regarding the relative roles of fiscal policy and monetary policy. However, the discontinuation of quantitative easing of as a policy option to fund government debt and the advent of the

Fiscal Responsibility and Budget Management Act (FRBM) is phasing out monetisation of the fiscal deficit. It is, thus, necessary to emphasize that monetary management, however deft, and monetary-fiscal co-ordination, however seamless, cannot, in the ultimate sense, be a substitute for fiscal discipline.

7.7 EFFECTIVENESS OF RBI'S POLICY INSTRUMENTS

The use of monetary instruments in India has undergone a shift from direct to indirect instruments. The process has been facilitated by reforms in the monetary and financial system. The increasing openness of the economy and a market-determined exchange rate mean that the focus of policy should increasingly be to ensure an orderly movement in exchange and interest rates. There is growing evidence of a strengthening of the interest rate channel of the monetary transmission mechanism, which would imply that interest rates could be used as effective targets of monetary policy. Although the Reserve Bank has been relying on broad money targets as a guide for conducting monetary policy, the focus of short-term monetary management in recent times has thus been on interest rates and the exchange rate. In the light of the emerging dynamics a multi-indicator approach, with movements not only in the money supply but also in a host of economic variables being tracked for policy purposes.

The objectives, instruments and mechanism of operation of monetary policy in India as well as elsewhere have been undergoing relentless change *pari passu* the changing structure of their respective economies. One needs to judge RBI in terms of current market practices and existing milieu of the economy under consideration, as well as in terms of analytical foundations. There is widespread agreement that the record of the Reserve Bank in monetary management has been, on balance, satisfactory. The degree of credibility that the Reserve Bank has earned over time is in itself likely to be an effective instrument of monetary policy in meeting the challenges of the future.

Experience of inflation targeting: Flexible inflation targeting seems to have scored some important early victories in India. The stabilisation of inflation expectations as well as the growing credibility of monetary policy means that monetary policy need not respond frantically to every unexpected shift in price levels. With the elapse of sometime, unfortunately, the results seem skewed towards the debit side of the ledger. RBI has consistently over-estimated inflation. Given that at the core of IT is an estimate, or forecast, of inflation — a consistent overestimate of this key variable has meant that RBI's interest rate stance has been biased towards the hawkish end. That has meant India has consistently run very high real interest rates for the major part of the last few years. While the impact of high real rates on private investment is nebulous with very little empirical evidence, it has certainly meant lower fiscal space for the government.

Check Your Progress 3

- 1) What targets RBI follows in its monetary policy?

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- 2) Indicate the instruments being used by RBI.

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- 3) Distinguish between quantitative and qualitative instruments of monetary policy.

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- 4) Discuss the effectiveness of monetary policy in achieving its objectives.

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7.8 LET US SUM UP

- Over the two decades preceding the 2008 global financial crisis, a broad consensus had emerged that price stability – a low and stable inflation rate – should be the main, if not exclusive, goal of central banks.
- Central banks are normally mandated to achieve certain goals such as price stability, high growth, low unemployment etc. But central banks do not directly control these variables. Rather they have set of instrument which they can use to achieve these objectives.
- The importance assigned to targets *vis-a-vis* objectives in the design of the monetary policy strategy is particularly critical because a mere achievement of targets while missing the objective could erode the credibility of monetary policy.
- The effectiveness of central bank policies has to be assessed in the context of the uncertainties against which the policies are implemented.

- The significant change is the adoption of unconventional monetary policies. The conventional monetary policy instrument is the central bank's control of the interest rate on risk-free nominal bonds. Unconventional monetary policy is then defined as a residual category: any other type of intervention by the central bank that does not depend for its operation on changing the risk-free nominal interest rate now or in the future.
- Unconventional monetary policy instruments include balance-sheet policies, comprising various types of quantitative easing and credit easing policies. Unconventional policy also includes emergency lending programmes and subsidized access to credit more generally.
- The unconventional instruments of monetary policy also include newer 'macro-prudential' policies, which place additional restrictions on access to credit above and beyond the interest rate charged.
- Macro-prudential measures need to be coordinated with monetary and fiscal policies.
- Vulnerability to external shocks with widespread effects on the domestic financial system brings to the fore the usefulness of macro-prudential instruments.
- It is important to keep in mind that macro-prudential policies should not be seen as substitutes for monetary and fiscal discipline – in particular, they should not be used to offset the harmful effects of unsustainable macroeconomic policies.
- When India adopted IT in the second half of 2016, it was supposed to be a case of "*catching up with the modern Joneses*". It was deemed to be a cutting-edge framework, providing conceptual clarity to monetary policy-making, as well as legal cover ensuring the independence of the RBI in conduct of the same.
- The RBI and Government of India signed a Monetary Policy Framework Agreement on 20th February 2015. As per terms of the agreement, the objective of monetary policy framework would be primarily to maintain price stability, while keeping in mind the objective of growth.
- The monetary policy framework would be operated by the RBI. RBI would aim to contain consumer price inflation within 6 per cent by January 2016 and within 4 per cent with a band of (+/-) 2 percent for all subsequent years. RBI has been using headline CPI

7.9 KEY WORDS

- Chartalism** : Chartalism is a non-mainstream theory of money that emphasizes the impact of government policies and activities on the value of money. Chartalism states that money does not have intrinsic value, but is given value by the government. The central idea of the Chartalist approach is that the value of money is based on the power of the issuing authority and not on the embodied or backing precious metal. Central banks cannot control the money supply; rather, most government fiat money enters the economy as a result of fiscal policy.
- Conventional monetary policy tool** : During normal times, central banks use three tools of monetary policy open market operations, discount lending, and reserve requirements to control the money supply and interest rates, and these are referred to as conventional monetary policy tools.
- Helicopter money** : A helicopter drop, or helicopter money, is a hypothetical, unconventional tool of monetary policy that involves printing large sums of money and distributing it to the public in order to stimulate the economy.
- Institutional background** : As regards the conduct of monetary policy, the choice of targets, instruments and operating procedures was circumscribed to a large extent by the nature of the financial markets and the institutional arrangements.
- Intermediate targets** : In view of the fairly stable demand function for money, broad money (M3) has been treated as an intermediate target in the conduct of monetary policy in India.
- Macro-prudential policy** : Macro-prudential policy regime has been created to damp the financial cycle, and that will have implications for the future dynamics of the variables that tend to dominate the monetary policy debate, as well as the transmission mechanism of monetary policy.

Quantitative Easing (QE) : Generally speaking, quantitative easing is really just an extended open market operation involving the unsterilised swap of central bank money for privately held assets. The key difference is that the duration of the swap is both intended to be long-term and of uncertain length.

Unconventional monetary policy tool : A non - standard monetary policy or unconventional monetary policy is a tool used by a central bank or other monetary authority that falls out of line with traditional measures, e.g. credit easing, quantitative easing, forward guidance, and signaling.

7.10 SOME USEFUL REFERENCES

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7.11 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) See section 7.2
- 2) See section 7.2
- 3) See section 7.2

Check Your Progress 2

- 1) See Sub-section 7.3.1
- 2) See Sub-section 7.3.2
- 3) See Sub-section 7.3.2
- 4) See Sub-section 7.3.3
- 5) See Sub-section 7.3.4
- 6) See Sub-section 7.4

Check Your Progress 3

- 1) See section 7.5
- 2) See section 7.6
- 3) See section 7.6
- 4) See section 7.7

7.12 TERMINAL QUESTIONS

- 1) “For achieving the goal fiscal and monetary policy should move in tandem.” Explain this statement and illustrate your answer with examples.
- 2) What is the proper objective function for monetary policy? How transparent should the central bank be?
- 3) Should the central bank be an inflation targeter? Give arguments. How is this policy being implemented in India?

- 4) “In the choice of the target, there is always a trade-off between ‘controllability’ of the target and the ‘attainment’ of the end objectives. The monetary policy mechanism holds the key in determining the target.” Do you agree with this statement? Give reasons for your answer.
- 5) Examine the various instruments being used by developed countries to make their monetary policy effective.
- 6) Explain transmission mechanism. What are its different forms? Is it important for the success of monetary policy?



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UNIT 8 CENTRAL BANK: ITS ROLE AS REGULATOR OF THE BANKING SYSTEM

Structure

- 8.0 Objectives
- 8.1 Introduction
- 8.2 The Reserve Bank of India Act, 1934
- 8.3 The Banking Regulation Act, 1949
- 8.4 Combating Financial Terrorism
- 8.5 The Banking Ombudsman Scheme, 2006
- 8.6 RBI's Prudential Norms
- 8.7 Let Us Sum Up
- 8.8 Key Words
- 8.9 Some Useful Links
- 8.10 Answers/Hints to Check Your Progress Exercises

8.0 OBJECTIVES

After going through this unit, you will be able to:

- To identify the role and powers of the Reserve Bank of India to regulate the Indian banking sector under the Reserve Bank of India Act, 1934 and the Banking Regulation Act, 1949;
- To understand the RBI's Integrated Ombudsman Scheme, 2021;
- To identify the role of the RBI in combating financial terrorism; and
- To examine the RBI's prudential norms.

8.1 INTRODUCTION

Have you ever wondered how a country's Central Bank can influence the economy and impact your everyday life? Have you ever thought how the Indian Banking System Regulated by the Reserve Bank of India? How can a single institution wield such power over the entire economy? This unit tries to explain this power. The Reserve Bank of India, as per the Banking Regulation Act, 1949, is authorized to inspect and regulate banks in the interest of the banking system, and the welfare of depositors and the public. The Reserve Bank of India is responsible for regulating commercial banks and LABs under the Banking Regulation Act, 1949, the Reserve Bank of

India Act, 1934, and related laws. RBI's Department of Co-operative Bank Regulation (DCBR) regulates State Co-operative Banks (StCBs), District Central Co-operative Banks (DCCBs) and Urban Cooperative Banks (UCBs). RBI's main tasks include setting regulations for compliance with banking laws, such as licensing, branch expansion, reserve maintenance, and bank management. It also approves the establishment of bank subsidiaries and new banking activities. The Bank aims to foster a strong, diverse, and competitive banking system by establishing prudent regulations and staying updated on domestic and global developments to adapt policies accordingly. It strives to align regulatory standards of commercial banks with international best practices. To achieve its goal of establishing a world-class banking system in India, it maintains a flexible organizational structure with professionally skilled staff and adapts its activities to meet current needs.

8.2 THE RESERVE BANK OF INDIA ACT, 1934

The Reserve Bank of India Act, 1934 is very important law which gives various powers to the Reserve Bank along with its obligations. The Act is applicable to whole of India. The following sections are noteworthy:

Section 22: Exclusive power to issue currency notes

The text of section 22(1) goes as follows:

"The Bank shall have the sole right to issue bank notes in [India], and may, for a period which shall be fixed by the [Central Government] on the recommendation of the Central Board, issue currency notes of the Government of India supplied to it by the [Central Government], and the provisions of this Act applicable to bank notes shall, unless a contrary intention appears, apply to all currency notes of the Government of India issued either by the [Central Government] or by the Bank in like manner as if such currency notes were bank notes, and references in this Act to bank notes shall be construed accordingly".

Interpretation: As per section 22(1), the RBI has exclusive power to issue bank notes for a time period fixed by the Central Government on the recommendation of the Central Board. Apart, it will issue the currency notes of the Government of India (e.g., ₹ 1 note). In this regard, the students are advised to read the press release¹ (dated 19th March 2016) made by the RBI. The link of the press release is given in the footnote.

Section 24: Demonetisation of currency notes

The two sub-sections of section 24 go as follows:

- 1) *Subject to the provisions of sub-section (2), bank notes shall be of the denominational values of two rupees, five rupees, ten rupees, twenty rupees, fifty rupees, one hundred rupees, five hundred rupees, one*

¹https://www.rbi.org.in/commonperson/english/scripts/Press_Releases.aspx?Id=1714

thousand rupees, five thousand rupees and ten thousand rupees or of such other denominational values, not exceeding ten thousand rupees, as the Central Government may, on the recommendation of the Central Board, specify in this behalf.

- 2) *The Central Government may, on the recommendation of the Central Board, direct the non-issue or the discontinuance of issue of bank notes of such denominational values as it may specify in this behalf.*

Interpretation: As per section 24(1), the RBI can issue the bank notes of ₹ 2, ₹ 5, ₹ 10, ₹ 20, ₹ 50, ₹ 100, ₹ 500, ₹ 1000, ₹5000, and ₹10,000 or such other note as specified by the Central Government on the recommendation of the Central Board². However, as per section 24(2), the RBI is required to stop the issue of the specified bank notes on being directed by the Central Government. The 2016 demonisation is a recent example in this regard in when the bank notes of ₹ 500, ₹ 1000 were discontinued.

Section 42: Cash reserves of scheduled banks to be kept with the RBI

Cash Reserves Ratio: According to section 42(1), every bank (whose name appears in the Second Schedule of the Act) is required to maintain with the RBI an average daily balance³. The amount of such balance cannot be less than the specified percentage (known as Cash Reserve ratio – CRR⁴) of the total of the demand and time liabilities in India as per the returns filed by the bank concerned under section 42(2). In this regard, according to Direction 4 of Cash Reserve Ratio (CRR) and Statutory Liquidity Ratio (SLR), Directions – 2021⁵

“Every bank shall maintain in India by way of cash reserve, a sum equivalent to such percent of the total of its Net Demand and Time Liabilities (NDTL) in India, in such manner and for such dates, as the Reserve Bank in terms of Section 42(1) of the RBI Act, 1934 and Section 18(1) of BR Act, 1949 [including provisions of Section 18 (1) of the BR Act as applicable to cooperative banks], may specify, by notification in the Official Gazette, from time to time having regard to the needs of securing the monetary stability in the country”.

There is no upper or lower limit on CRR. Till 2006, the lower and upper CRR limits were 3% and 20% respectively.

Note: BR Act means the Banking Regulation Act, 1949.

Statutory Liquidity Ratio (SLR) : According to Section 42(2) of the RBI Act, notwithstanding anything contained in sub-section (1), the Reserve Bank

² Central Board means the Central Board of Directors of the Reserve Bank of India – Section 2 of the RBI Act, 1949.

³ Average daily balance means the average of the balances held at the close of business on each day of a fortnight. Further, fortnight means the period from Saturday to the second following Friday, both days inclusive.

⁴ As of 7th May 2024, the CRR is 4.5% (<https://rbi.org.in/Home.aspx>)

⁵ https://m.rbi.org.in/scripts/BS_ViewMasDirections.aspx?id=12131#

directs scheduled commercial banks to maintain with the Bank, in addition to the balance prescribed by or under sub-section (1) of the RBI Act, an additional average daily balance the amount of which shall not be less than the [rate specified in the notification, such additional balance being calculated with reference to the excess of the total of the demand and time liabilities of the bank as shown in the return referred to in sub-section (2) over the total of its demand and time liabilities] at the close of business on the date specified in the notification as shown by such return so however, that the additional balance shall, in no case, be more than such excess.

Consequent upon amendment to the Section 24 of the Banking Regulation Act, 1949, effective January 23, 2007, the Reserve Bank can prescribe the SLR for SCBs in specified assets. The value of such assets of a SCB shall not be less than such percentage not exceeding 40 per cent of its total DTL in India as on the last Friday of the second preceding fortnight as the Reserve Bank may, by notification in the Official Gazette, specify from time to time.

Thus, there is no lower limit of SLR requirement, however, the upper limit is 40 per cent.

8.3 THE BANKING REGULATION ACT, 1949

The Banking Regulation Act of 1949 is a significant legislation in India governing the operations of all banking entities within the country. Originally enacted as the Banking Companies Act of 1949, it became effective on March 16, 1949, and was later renamed as the Banking Regulation Act of 1949 on March 1, 1966. Initially, the law was limited to regulating banking companies. However, in 1965, amendments were made to include cooperative banks and introduce other modifications. The Banking Regulation Act provides a comprehensive framework for the supervision and regulation of commercial banking in India, complementing the Companies Act of 1956. Notably, primary agricultural credit societies and cooperative land mortgage banks are exempted from its provisions. Under this Act, the Reserve Bank of India (RBI) is empowered to license banks, oversee shareholding and voting rights, regulate board appointments and management, govern bank operations, prescribe audit instructions, manage moratoriums, mergers, and liquidations, issue directives for public welfare and banking policy, and levy penalties. In 1965, the Act was amended to extend its coverage to cooperative banks through Section 56. These banks, typically operating within a single state, are established and managed by the respective state governments. However, RBI retains authority over licensing and regulation of their business activities. The Banking Act serves as a complementary legislation to previous banking-related acts.

Revised Banking Regulation (Amendment) Act, 2020 is effective from 29th September 2020⁶. The amended Act encompassed 1,482 urban and 58 multi-state cooperative banks, subjecting them to RBI oversight. Notably, the Act

⁶ https://www.rbi.org.in/Scripts/BS_PressReleaseDisplay.aspx?prid=52595

empowered the RBI to undertake bank reconstructions or mergers without necessitating moratoriums. The following sections are noteworthy:

Section 22(1): Licensing of Banking Companies

As per section 22(1), no banking company can carry on its business without taking license from the RBI. The RBI is given the power to fix such conditions of license as it thinks to fit.

Section 22 (4): Cancelling license

According to section 22(4), the RBI reserves the power to cancel the license given to banking company under section 22(1). In the following circumstances, the RBI may cancel the license:

- a) if the company ceases to carry on banking business in India
- b) if the company at any time fails to comply with any of the conditions of license fixed by the RBI.
- c) if at any time, any of the conditions referred to in section 24(3), and section 24(3A) are not fulfilled.

Note: If the decision of the RBI to cancel the license is not appealed to the Central Government, then the decision of the RBI is final.

Section 23(1): Restrictions on opening of new, and transfer of existing, places of business

According to section 23(1), without the approval of the RBI, no banking company can open a new place of business in India or change (except within the same city, town or village) the location of its business in India.

Moreover, without the approval of the RBI, no banking company incorporated in India can establish a new branch outside India or relocate an existing one to a different location in any foreign country or area, except within the same city, town, or village. However, this restriction does not apply to the temporary opening of a branch for up to one month within the same locality where the banking company already operates, for events like exhibitions, conferences, fairs, or similar occasions, to provide banking services to the public.

Section 24: Maintenance of a percentage of assets

“A scheduled bank, in addition to the average daily balance which it is, or may be, required to maintain under Section 42 of the Reserve Bank of India Act, 1934 and every other banking company, in addition to the cash reserve which it is required to maintain under section 18, shall maintain in India, assets, the value of which shall not be less than such percentage not exceeding forty per cent, of the total of its demand and time liabilities in India is on the last Friday of the second preceding fortnight as the Reserve Bank may, by notification in the Official Gazette, specify from

time to time and such assets shall to maintained, in such form and manner, as may be specified in such notification”.

Interpretation: According to section 24(1), a scheduled bank and every other banking company is required to maintain a certain percentage (known as Statutory Liquidity Ratio – SLR⁷) of its assets in specified form like cash, gold, etc. This requirement is in addition to CRR as given section 42 of the RBI Act and however, these deposits are maintained by the banks themselves and not with the RBI. SLR cannot exceed 40 per cent. In case of inflationary pressure, the RBI might opt to raise SLR to diminish the credit creation ability of banks.

Section 26A: Establishment of Depositor Education and Awareness Fund Pursuant to the amendment of the Banking Regulation Act, 1949, section 26A has been added in 2013, granting the Reserve Bank the authority to establish The Depositor Education and Awareness Fund (the Fund). This section mandates that any account in India with any bank that has not been operated for ten years or any unclaimed deposit for over ten years be credited to the Fund within three months of the ten-year period expiring. The Fund is intended to promote depositors’ interests and for other purposes specified by the RBI. Depositors can still claim their deposits or operate their accounts even after the ten years have passed and the funds have been transferred. The bank is responsible for paying the depositor and then claiming a refund from the Fund.

Section 35: Inspection

The RBI can inspect any banking company and its books and accounts at any time, on being directed by the Central Government. After the inspection, the Reserve Bank has to give the banking company a copy of its report.

Check Your Progress 1

- 1) Describe some important sections of The Reserve Bank of India Act, 1934.

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- 2) What are the main provisions of the Banking Regulations Act, 1949?

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⁷ As of 7th May 2024, SLR is 18 percent.

- 3) Do you think that the BR Act, 1949 gives immense powers to the Reserve Bank of India?

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8.4 COMBATING FINANCIAL TERRORISM

Combating financial terrorism (CFT) refers to the efforts made by the Reserve Bank, along with other regulatory bodies and law enforcement agencies, to prevent and disrupt the flow of funds used to support terrorist activities. The Reserve Bank implements various measures to detect and deter financial transactions that may be linked to terrorism. In this regard, the RBI has issued **Master Circular**⁸ — Know Your Customer norms / Anti-Money Laundering Standards/ Combating of Financing of Terrorism /Obligation of banks under PMLA, 2002. Students are advised to read this master circular to enhance their knowledge. The circular starts with its purpose paragraph which goes as follows:

“Banks and financial institutions (FIs) have been advised to follow certain customer identification procedure for opening of accounts and monitor transactions of suspicious nature for the purpose of reporting the same to appropriate authority. These ‘Know Your Customer’ (KYC) guidelines have been revisited in the context of the recommendations made by the Financial Action Task Force (FATF) on Anti Money Laundering (AML) standards and on Combating Financing of Terrorism (CFT). Detailed guidelines based on the recommendations of FATF and the paper issued on Customer Due Diligence (CDD) for banks by the Basel Committee on Banking Supervision (BCBS), with suggestions wherever considered necessary, have been issued. Banks/FIs have been advised to ensure that a proper policy framework on ‘Know Your Customer’ and Anti-Money Laundering measures is formulated and put in place with the approval of their Boards”.

8.5 THE BANKING OMBUDSMAN SCHEME, 2006

An ombudsman is an independent official appointed to investigate complaints against organizations on behalf of individuals who believe they have been treated unfairly or improperly. Ombudsmen are typically impartial and objective, tasked with resolving disputes and ensuring that the rights of individuals are upheld according to the law or relevant regulations. They often have the authority to investigate complaints, mediate between parties, make recommendations for resolving issues, and sometimes enforce corrective actions or remedies. Ombudsmen serve as a recourse for

⁸ https://www.rbi.org.in/Scripts/BS_ViewMasCirculardetails.aspx?id=9848

individuals who have exhausted other avenues for resolving their grievances and seek an impartial resolution.

To resolve the complaints of the customers of various banks, the RBI has launched **the Banking Ombudsman Scheme, 2006**⁹ (amended scheme is effective from July 1, 2017). The Banking Ombudsman Scheme is an expeditious and inexpensive forum for bank customers for resolution of complaints relating to certain services rendered by banks. The Banking Ombudsman is a senior official appointed by the Reserve Bank of India to redress customer complaints against deficiency in certain banking services covered under the grounds of complaint specified under Clause 8 of the Banking Ombudsman Scheme 2006 (As amended upto July 1, 2017). Currently, twenty Banking Ombudsmen have been designated, and their offices are primarily situated in state capitals. The addresses and contact information for these Banking Ombudsman offices are available in Annex I of the Scheme. The scheme covers all scheduled commercial banks, regional rural banks and scheduled primary co-operative banks. If a bank fails to respond within one month of receiving a complaint, rejects the complaint, or if the complainant is unsatisfied with the bank's response, they can lodge a complaint with the Banking Ombudsman. According to point 8 of the schemes, the grounds of the complaints are as follows:

- 1) Non-payment or inordinate delay in the payment or collection of cheques, drafts, bills etc.;
- 2) Non-acceptance, without sufficient cause, of small denomination notes tendered for any purpose, and for charging of commission in respect thereof;
- 3) Non-acceptance, without sufficient cause, of coins tendered and for charging of commission in respect thereof;
- 4) Non-payment or delay in payment of inward remittances;
- 5) Failure to issue or delay in issue of drafts, pay orders or bankers cheques;
- 6) Non-adherence to prescribed working hours;
- 7) Failure to provide or delay in providing a banking facility (other than loans and advances) promised in writing by a bank or its direct selling agents;
- 8) Delays, non-credit of proceeds to parties' accounts, non-payment of deposit or non-observance of the Reserve Bank directives, if any, applicable to rate of interest on deposits in any savings, current or other account maintained with a bank;

⁹ <https://rbikehtahai.rbi.org.in/resolve-complaints-faq.html>

- 9) Complaints from Non-Resident Indians having accounts in India in relation to their remittances from abroad, deposits and other bank related matters;
- 10) Refusal to open deposit accounts without any valid reason for refusal;
- 11) Levying of charges without adequate prior notice to the customer;
- 12) Non-adherence to the instructions of Reserve Bank on ATM / Debit Card and Prepaid Card operations in India by the bank or its subsidiaries;
- 13) Non-adherence by the bank or its subsidiaries to the instructions of Reserve Bank on credit card operations;
- 14) Non-adherence to the instructions of Reserve Bank with regard to Mobile Banking / Electronic Banking service in India by the bank;
- 15) Non-disbursement or delay in disbursement of pension (to the extent the grievance can be attributed to the action on the part of the bank concerned, but not with regard to its employees);
- 16) Refusal to accept or delay in accepting payment towards taxes, as required by Reserve Bank/Government;
- 17) Refusal to issue or delay in issuing, or failure to service or delay in servicing or redemption of Government securities;
- 18) Forced closure of deposit accounts without due notice or without sufficient reason;
- 19) Refusal to close or delay in closing the accounts;
- 20) Non-adherence to the fair practices codes as adopted by the bank;
- 21) Non-adherence to the provisions of the Code of Bank's Commitments to Customers issued by Banking Codes and Standards Board of India and as adopted by the bank;
- 22) Non-observance of Reserve Bank guidelines on engagement of recovery agents by banks;
- 23) Non-adherence to Reserve Bank guidelines on para-banking activities like sale of insurance / mutual fund /other third-party investment products by banks;
- 24) Non-adherence to Reserve Bank guidelines on para-banking activities like sale of insurance / mutual fund /other third-party investment products by banks;
- 25) Any other matter relating to the violation of the directives issued by the Reserve Bank in relation to banking or other services.

- 26) Any other matter relating to the violation of the directives issued by the Reserve Bank in relation to banking or other services.

Customers can also file complaints regarding inadequacies in service concerning loans and advances:

1. Non-observance of Reserve Bank Directives on interest rates;
2. Delays in sanction, disbursement or non-observance of prescribed time schedule for disposal of loan applications;
3. Non-acceptance of application for loans without furnishing valid reasons to the applicant; and
4. Non-adherence to the provisions of the fair practices code for lenders as adopted by the bank or Code of Bank's Commitment to Customers, as the case may be;
5. Non-observance of any other direction or instruction of the Reserve Bank as may be specified by the Reserve Bank for this purpose from time to time.
6. The Banking Ombudsman may also deal with such other matter as may be specified by the Reserve Bank from time to time.

Source: https://rbidocs.rbi.org.in/rdocs/Content/PDFs/BOS2006_2302017.pdf

The Reserve Bank - Integrated Ombudsman Scheme, 2021

The Reserve Bank - Integrated Ombudsman Scheme, 2021 (the Scheme) was launched on November 12, 2021. The Scheme integrates the existing three Ombudsman schemes of RBI namely,

- 1) The Banking Ombudsman Scheme, 2006;
- 2) The Ombudsman Scheme for Non-Banking Financial Companies, 2018; and
- 3) The ombudsman scheme for digital transactions, 2019.

The Scheme, framed by the Reserve Bank in exercise of the powers conferred on it under Section 35A of the Banking Regulation Act, 1949 (10 of 1949), Section 45L of the Reserve Bank of India Act, 1934 (2 of 1934), and Section 18 of the Payment and Settlement Systems Act, 2007 (51 of 2007), will provide cost-free redress of customer complaints involving deficiency in services rendered by entities regulated by RBI, if not resolved to the satisfaction of the customers or not replied within a period of 30 days by the regulated entity.

In addition to integrating the three existing schemes, the Scheme also includes under its ambit, Non-Scheduled Primary Co-operative Banks with a deposit size of ₹50 crore and above. The Scheme adopts 'One Nation One Ombudsman' approach by making the RBI Ombudsman mechanism jurisdiction neutral.

Some of the salient features of the Scheme are:

- 1) It will no longer be necessary for a complainant to identify under which scheme he/she should file complaint with the Ombudsman.
- 2) The Scheme defines ‘**deficiency in service**’ as the ground for filing a complaint, with a specified list of exclusions. Therefore, the complaints would no longer be rejected simply on account of “not covered under the grounds listed in the scheme”.
- 3) The Scheme has done away with the jurisdiction of each ombudsman office.
- 4) A Centralised Receipt and Processing Centre has been set up at RBI, Chandigarh for receipt and initial processing of physical and email complaints in any language.
- 5) The responsibility of representing the Regulated Entity and furnishing information in respect of complaints filed by customers against the Regulated Entity would be that of the Principal Nodal Officer in the rank of a General Manager in a Public Sector Bank or equivalent.
- 6) The Regulated Entity will not have the right to appeal in cases where an Award is issued by the ombudsman against it for not furnishing satisfactory and timely information/documents.

The Executive Director-in charge of Consumer Education and Protection Department of RBI is the **Appellate Authority** under the Integrated Ombudsman Scheme.

8.6 RBI’S PRUDENTIAL NORMS

The RBI, following recommendations from the Committee on Financial System led by Chairman Shri M. Narasimham has implemented gradual changes to ensure that banks accurately depict their financial status in their balance sheets. These changes involve introducing prudential norms for income recognition, asset classification, and provisioning for advances across banks. In this regard, the RBI issued a revised **master circular**¹⁰ - **Income Recognition, Asset Classification, Provisioning and Other Related Matters – UCBs (dated 2nd April 2024)**. The students are advised to go through the circular available on the official website of the RBI, however, some of the most prominent points are discussed here briefly.

1) Asset Classification

Banks should classify their assets into the following broad groups:

- a) **Standard assets:** A standard asset refers to a loan or financial asset that doesn’t exhibit any signs of problems and doesn’t pose more than the normal level of risk associated with the business. In other

¹⁰https://www.rbi.org.in/scripts/BS_ViewMasCirculardetails.aspx?id=12658#1

words, it is an asset that is considered healthy and is not classified as a Non-Performing Asset (NPA), indicating that it is being serviced as per the agreed terms and doesn't raise concerns about repayment.

- b) **Sub-standard assets:** An asset falls into this category if it has been classified as a Non-Performing Asset (NPA) for a period up to 12 months. In such cases, the current financial standing of the borrowers/guarantors or the current market value of the collateral pledged is insufficient to ensure full recovery of the owed amount by the banks. Essentially, assets classified as sub-standard exhibit clear credit weaknesses that hinder the repayment of the debt. There is a notable risk that banks may incur losses if these deficiencies are not rectified.
- c) **Doubtful assets:** An asset is categorized as doubtful if it has been classified as a Non-Performing Asset (NPA) for over 12 months. A loan classified as doubtful shares all the weaknesses found in sub-standard assets. However, it also carries the additional characteristic that these weaknesses render the full collection or liquidation highly questionable and improbable based on current known facts, conditions, and values. In essence, doubtful assets pose significant challenges for recovery or liquidation, making their future outcomes uncertain.
- d) **Loss assets:** A loss asset is one where loss has been identified by the bank or internal or external auditors or by the Co-operation Department or by the RBI's inspection, but the amount has not been written off, whether completely or partly. In other words, such an asset is considered un-collectible and of such little value that its continuance as a bankable asset is not warranted although there may be some salvage or recovery value.

2) Non-performing assets (NPAs)

Assets are classified as non-performing assets if:

- a) In case of a term loan, the interest or principal instalment is overdue for more than 90 days.
- b) The account remains 'out of order', in respect of an Overdraft / Cash Credit (OD/CC) and all other loan products being offered as an overdraft facility, including those not meant for business purposes and/or which entail interest repayments as the only credits.
- c) The bill remains overdue for a period of more than 90 days in the case of bills purchased and discounted.
- d) In the case of direct agricultural advances as listed in Annex 1 (of the circular), the overdue norm specified at para 2.1.3 (of the circular) would be applicable. In respect of agricultural loans other than those specified in Annex 1, identification of NPAs would be done on the same basis as non-agricultural advances.

- e) Any amount to be received remains overdue for a period of more than 90 days in respect of other accounts.
- f) In addition, an account may also be classified as NPA in terms of certain specific provisions of this Master Circular, including inter alia paragraphs 2.2.7 and clarifications provided under the frequently asked questions (FAQs) in Annex-4 of the document: (https://www.rbi.org.in/scripts/BS_ViewMasCirculardetails.aspx?id=12658#1).

3) Income Recognition

- a) The policy of income recognition has to be objective and based on the record of recovery. Income from non-performing assets (NPA) is not recognised on accrual basis but is booked as income only when it is actually received. Therefore, banks should not take interest on non-performing assets to their income account on accrual basis.
- b) However, interest on advances against term deposits, NSCs, KVPs and life insurance policies may be taken to income account on the due date, provided adequate margin is available in the accounts.
- c) Fees and commissions earned by the banks as a result of re-negotiations or rescheduling of outstanding debts should be recognised on an accrual basis over the period of time covered by the re-negotiated or rescheduled extension of credit.
- d) If Government guaranteed advances remain 'overdue' for more than 90 days, the interest on such advances should not be taken to income account unless the interest has been realised. This shall be applicable in cases of both Central and State Government guaranteed accounts.
- e) In cases of loans where moratorium has been granted for repayment of interest, banks may recognize interest income on accrual basis for accounts which continue to be classified as 'standard'.
- f) As a prudent practice and in order to bring about uniform accounting practice among banks for booking of income on units of UTI and equity of All India Financial Institutions, such income should be booked on cash basis and not on accrual basis.
- g) In respect of income from Government securities or bonds of public sector undertakings and All India Financial Institutions, where interest rates on the instruments are predetermined, income may be booked on accrual basis, provided interest is serviced regularly and is not in arrears.
- h) Interest realised on NPAs may be taken to income account, provided the credits in the accounts towards interest are not out of fresh / additional credit facilities sanctioned to the borrower concerned.

4) Provisioning norms

Provisioning depends upon the type of the asset i.e.,

i) Loss Assets

The entire assets should be written off after obtaining necessary approval from the competent authority and as per the provisions of the Co-operative Societies Act / Rules. If the assets are permitted to remain in the books for any reason, 100 per cent of the outstanding should be provided for.

ii) Doubtful Assets

- a) Provision should be 100 per cent of the extent to which the advance is not covered by the realisable value of the security to which the bank has a valid recourse. The realisable value should be estimated on a realistic basis.
- b) In regard to the secured portion, provision may be made on the following basis, at the rates ranging from 20 per cent to 100 per cent of the secured portion depending upon the period for which the asset has remained doubtful:

Period for which the advance has remained in 'doubtful' category	Provision requirement
Upto 1 year	20%
1 to 3 years	30%
Advances classified as doubtful for more than 3 years on or after April 1, 2010	100%

iii) Sub-standard assets

A general provision of 10 per cent on total outstanding should be made without making any allowance for ECGC guarantee cover and securities available.

Check Your Progress 2

- 1) What do you understand by combating financial terrorism (CFT)?

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.....

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- 2) Define the non-performing assets (NPAs) as defined by the RBI.

.....

- 3) Briefly describe the Banking Ombudsman Scheme, 2006

.....

8.7 LET US SUM UP

The unit elucidates the pivotal role of the Reserve Bank of India (RBI) as outlined in the Reserve Bank of India Act, 1934 and the Banking Regulations Act, 1949. The RBI Act delineates the various powers conferred upon the RBI, such as the authority to issue banknotes/currency and determine the Cash Reserve Ratio (CRR) to regulate the financial system effectively. Additionally, the unit underscores the significance of the Banking Regulations Act of 1949, which empowers the RBI to enforce regulations governing aspects like determination of the Statutory Liquidity Ratio (SLR), inspection procedures, licensing, license cancellation, etc. Furthermore, the text delves into the critical role of the RBI in combating financial terrorism, highlighting its efforts in safeguarding the stability and integrity of the financial system. It elaborates on the Banking Ombudsman Scheme of 2006, designed to address grievances and ensure fair practices within the banking industry. Lastly, the unit discusses the RBI's norms for asset classification, income categorization, and other relevant financial parameters, emphasizing its role in maintaining transparency and accountability within the banking sector.

8.8 KEY WORDS

Combating Financial Terrorism : Combating financial terrorism involves efforts by regulatory authorities and financial institutions to prevent, detect, and mitigate activities that fund or facilitate terrorist organizations or activities.

CRR (Cash Reserve Ratio) : The Cash Reserve Ratio (CRR) is the percentage of a bank's total deposits that it is required to maintain as reserves with the Central Bank (in India, the Reserve Bank of India).

Money Laundering : It involves a series of complex financial transactions aimed at concealing the illicit source

of money, typically through layers of transactions and financial instruments, to integrate the “dirty” money into the legal financial system.

Non-Performing Assets (NPAs) : NPAs refer to loans or advances extended by banks and financial institutions that have ceased to generate income for the lender. An asset becomes non-performing when the borrower fails to make interest or principal payments for a specified period, typically 90 days or more.

RBI's Ombudsman Scheme 2006 : The Reserve Bank of India's Ombudsman Scheme, 2006, is a mechanism established by the RBI to address and resolve grievances and complaints of customers against banks and other financial institutions regulated by the RBI.

SLR (Statutory Liquidity Ratio) : SLR is the percentage of a bank's Net Demand and Time Liabilities (NDTL) that it is mandated to maintain in the form of liquid assets such as cash, gold, or government-approved securities.

The Banking Regulation Act, 1949 : The Banking Regulation Act, 1949, is an Indian legislation that governs the functioning and operations of banks in India. It empowers the Reserve Bank of India (RBI) to regulate the banking sector.

The Reserve Bank of India Act, 1934 : The Reserve Bank of India Act, 1934, is an important legislation that provides the legal framework for the establishment, powers, and functioning of the Reserve Bank of India (RBI).

8.9 SOME USEFUL REFERENCES

- 1) <https://www.rbi.org.in/commonman/english/Scripts/speeches.aspx?Id=3161>
- 2) <https://rbidocs.rbi.org.in/rdocs/Publications/PDFs/RBIA1934170510.PDF>
- 3) https://www.rbi.org.in/Scripts/BS_PressReleaseDisplay.aspx?prid=52595
- 4) https://www.rbi.org.in/scripts/BS_ViewMasCirculardetails.aspx?id=12658#1
- 5) https://rbidocs.rbi.org.in/rdocs/Content/PDFs/BOS2006_2302017.pdf
- 6) https://www.rbi.org.in/Scripts/BS_ViewMasCirculardetails.aspx?id=9848

8.10 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) Section 22: Exclusive power to issue currency notes, Section 24: Demonetisation of currency notes, Section 42: Cash reserves of scheduled banks to be kept with the RBI.
- 2) Section 22(1): Licensing of Banking Companies, Section 22 (4): Cancelling license, Section 23(1): Restrictions on opening of new, and transfer of existing, places of business, Section 24: Maintenance of a percentage of assets, Section 26A.
- 3) Banking Regulation (Amendment) Act, 2020 empowered the RBI to undertake bank reconstructions or mergers without necessitating moratoriums. Sections like Section 22(1), Section 22(4), Section 23(1), Section 24, Section 35 have given a lot of power to RBI.

Check Your Progress 2

- 1) CFT refers to the efforts made by the Reserve Bank, along with other regulatory bodies and law enforcement agencies, to prevent and disrupt the flow of funds used to support terrorist activities. The Reserve Bank implements various measures to detect and deter financial transactions that may be linked to terrorism.
- 2) Assets are classified as non-performing assets if: the interest or principal instalment, bill is overdue for more than 90 days, the account remains 'out of order', in respect of an Overdraft / Cash Credit (OD/CC).
- 3) The Banking Ombudsman Scheme is an expeditious and inexpensive forum for bank customers for resolution of complaints relating to certain services rendered by banks. The Banking Ombudsman is a senior official appointed by the Reserve Bank of India to redress customer complaints against deficiency in certain banking services.

UNIT 9 MONETARY POLICY IN INDIA: TRANSMISSION MECHANISM

Structure

- 9.0 Objectives
- 9.1 Introduction
- 9.2 Theoretical Framework of Monetary Policy Transmission
 - 9.2.1 Conceptual Overview
 - 9.2.2 Role of Financial Intermediaries
 - 9.2.3 Channels of Transmission
- 9.3 Financial Intermediaries and Monetary Policy Transmission
 - 9.3.1 Commercial Banks
 - 9.3.2 Non-Banking Financial Institutions
 - 9.3.3 Capital Markets
- 9.4 Credit Channel of Monetary Policy Transmission
 - 9.4.1 Mechanisms of Credit Provision
 - 9.4.2 Impact on Borrowing Costs
 - 9.4.3 Credit Availability and Investment
- 9.5 Interest Rate Channel of Monetary Policy Transmission
 - 9.5.1 Influences on Interest Rates
 - 9.5.2 Effects on Consumption and Investment
 - 9.5.3 Yield Curve Dynamics
- 9.6 Asset Price Channel of Monetary Policy Transmission
 - 9.6.1 Impact on Asset Prices
 - 9.6.2 Wealth Effects and Consumer Spending
 - 9.6.3 Implications for Financial Stability
- 9.7 Exchange Rate Channel of Monetary Policy Transmission
 - 9.7.1 Exchange Rate Dynamics
 - 9.7.2 Trade Balance and Competitiveness
 - 9.7.3 External Sector
- 9.8 Effectiveness and Challenges of Monetary Policy Transmission
 - 9.8.1 Policy Effectiveness Assessment
 - 9.8.2 Limitations and Constraints
 - 9.8.3 Adaptation to Changing Economic Conditions
 - 9.8.4 Coordination with Fiscal Policy
- 9.9 Let Us Sum Up
- 9.10 Key Words

9.11 Some Useful Books

9.12 Answers/Hints to Check Your Progress Exercises

9.13 Terminal Questions

9.0 OBJECTIVES

After going through this unit, you will be able to :

- Introduce the theoretical framework of monetary policy transmission;
- Understand the role of financial intermediaries, including commercial banks, non-banking financial institutions, and capital markets;
- Examine of the credit channel's mechanisms, impact on borrowing costs, and credit availability for investment;
- Analyse the interest rate channel's influences on interest rates, consumption, investment, and yield curve dynamics;
- Explore the asset price channel's impact on asset prices, wealth effects, and implications for financial stability; and
- Discuss the dynamics of the exchange rate channel, its effects on trade balance, competitiveness, and the external sector.

9.1 INTRODUCTION

In units 7 and 8 of this block, we discussed about Central bank, its role in monetary policy and its role as regulator of the banking system. We also discussed about objectives of monetary policy and various instruments through which objectives are achieved. This unit delves into the intricate mechanisms of monetary policy transmission, aiming to elucidate its theoretical framework and practical implications. By exploring the roles of financial intermediaries and various transmission channels, including credit, interest rates, asset prices, and exchange rates, learners gain a comprehensive understanding of how central bank actions reverberate through the economy. Through empirical evidence and analysis, the unit also examines the effectiveness and challenges inherent in monetary policy transmission.

9.2 THEORETICAL FRAMEWORK OF MONETARY POLICY TRANSMISSION

9.2.1 Conceptual Overview

Monetary policy framework refers to the set of principles, strategies, and tools used by a central bank to manage the nation's money supply, interest rates, and overall financial conditions to achieve specific economic goals. It provides a framework within which the central bank makes decisions regarding its monetary policy stance. Key components of Monetary

framework include Goals of monetary policy, targets and instruments. Figure 9.1 shows the schematic representation of the monetary policy framework that is followed around the globe by the Central banks.

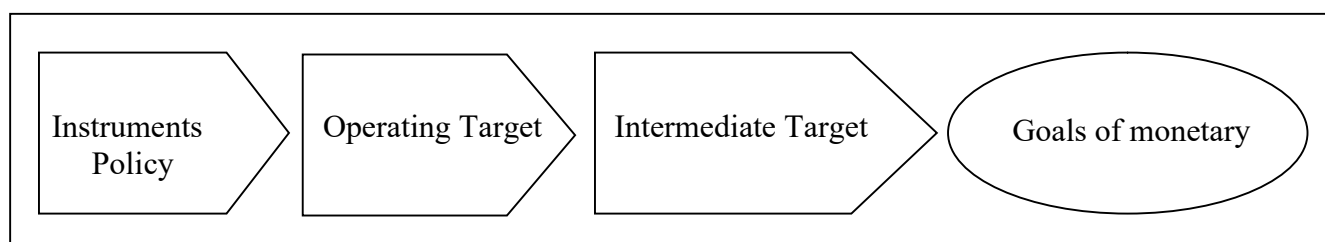


Fig. 9.1: A Schematic Representation of a Monetary Policy Framework

The evolution of India's monetary policy framework reflects shifts in economic priorities and global integration. From a focus on maintaining sterling parity to the adoption of monetary targeting and multiple indicators approaches, India has gradually adapted its policy framework to changing economic conditions.

Instruments of Monetary Policy

There are several direct and indirect instruments that are used for implementing monetary policy.

- 1) **Repo Rate:** The interest rate at which the Reserve Bank provides liquidity under the liquidity adjustment facility (LAF) to all LAF participants against the collateral of government and other approved securities.
- 2) **Standing Deposit Facility (SDF) Rate:** The rate at which the Reserve Bank accepts uncollateralised deposits, on an overnight basis, from all LAF participants. The SDF is also a financial stability tool in addition to its role in liquidity management. The SDF rate is placed at 25 basis points below the policy repo rate. With introduction of SDF in April 2022, the SDF rate replaced the fixed reverse repo rate as the floor of the LAF corridor.
- 3) **Marginal Standing Facility (MSF) Rate:** The penal rate at which banks can borrow, on an overnight basis, from the Reserve Bank by dipping into their Statutory Liquidity Ratio (SLR) portfolio up to a predefined limit (2 per cent). This provides a safety valve against unanticipated liquidity shocks to the banking system. The MSF rate is placed at 25 basis points above the policy repo rate.
- 4) **Liquidity Adjustment Facility (LAF):** The LAF refers to the Reserve Bank's operations through which it injects/absorbs liquidity into/from the banking system. It consists of overnight as well as term repo/reverse repos (fixed as well as variable rates), SDF and MSF. Apart from LAF, instruments of liquidity management include outright open market

operations (OMOs), forex swaps and market stabilisation scheme (MSS).

- 5) **LAF Corridor:** The LAF corridor has the marginal standing facility (MSF) rate as its upper bound (ceiling) and the standing deposit facility (SDF) rate as the lower bound (floor), with the policy repo rate in the middle of the corridor.
- 6) **Main Liquidity Management Tool:** A 14-day term repo/reverse repo auction operation at a variable rate conducted to coincide with the cash reserve ratio (CRR) maintenance cycle is the main liquidity management tool for managing frictional liquidity requirements.
- 7) **Fine Tuning Operations:** The main liquidity operation is supported by fine-tuning operations, overnight and/or longer tenor, to tide over any unanticipated liquidity changes during the reserve maintenance period. In addition, the Reserve Bank conducts, if needed, longer-term variable rate repo/reverse repo auctions of more than 14 days.
- 8) **Reverse Repo Rate:** The interest rate at which the Reserve Bank absorbs liquidity from banks against the collateral of eligible government securities under the LAF. Following the introduction of SDF, the fixed rate reverse repo operations will be at the discretion of the RBI for purposes specified from time to time.
- 9) **Bank Rate:** The rate at which the Reserve Bank is ready to buy or rediscount bills of exchange or other commercial papers. The Bank Rate acts as the penal rate charged on banks for shortfalls in meeting their reserve requirements (cash reserve ratio and statutory liquidity ratio). The Bank Rate is published under Section 49 of the RBI Act, 1934. This rate has been aligned with the MSF rate and, changes automatically as and when the MSF rate changes alongside policy repo rate changes.
- 10) **Cash Reserve Ratio (CRR):** The average daily balance that a bank is required to maintain with the Reserve Bank as a per cent of its net demand and time liabilities (NDTL) as on the last Friday of the second preceding fortnight that the Reserve Bank may notify from time to time in the Official Gazette.
- 11) **Statutory Liquidity Ratio (SLR):** Every bank shall maintain in India assets, the value of which shall not be less than such percentage of the total of its demand and time liabilities in India as on the last Friday of the second preceding fortnight, as the Reserve Bank may, by notification in the Official Gazette, specify from time to time and such assets shall be maintained as may be specified in such notification (typically in unencumbered government securities, cash and gold).
- 12) **Open Market Operations (OMOs):** These include outright purchase/sale of government securities by the Reserve Bank for injection/absorption of durable liquidity in the banking system.

The recent adoption of Flexible Inflation Targeting (FIT) framework, influenced by global best practices, underscores India's commitment to maintaining price stability while supporting economic growth. Under FIT, the repo rate serves as the policy rate, with the Reserve Bank of India (RBI) managing liquidity to achieve the desired interest rate outcomes.

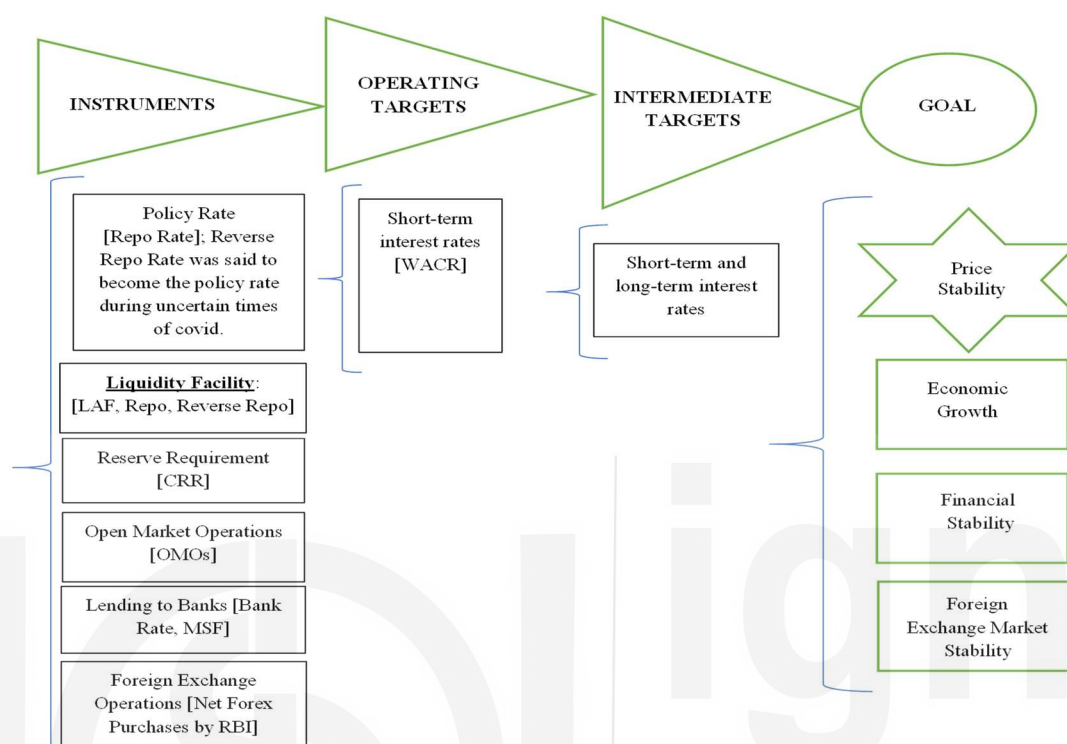


Fig. 9.2: Flexible Inflation Targeting Framework (FIT)

Figure 9.2 is a diagrammatical representation of the Flexible Inflation targeting framework followed by India. Further in the unit, we will take reference of the figure in the Indian context.

9.2.2 Role of Financial Intermediaries

As we have discussed in Unit 2 of this course, financial intermediaries serve as the linchpin of the financial system, facilitating the efficient allocation of capital between surplus and deficit units. They bridge the gap between savers and borrowers by pooling funds from individuals and institutions and deploying them into various investment avenues. By engaging in intermediation activities such as deposit-taking, lending, and risk management, these entities enhance liquidity, mitigate risk, and foster economic growth.

At the heart of their function lies the transformation of financial assets and liabilities, converting short-term liabilities (deposits) into long-term assets (loans and investments). This process not only ensures the efficient utilization of resources but also promotes stability within the financial system. Moreover, financial intermediaries play a pivotal role in reducing information asymmetry between borrowers and lenders, thereby fostering trust and confidence in the financial markets.

9.2.3 Channels of Transmission

The transmission of financial activities occurs through a myriad of channels, each playing a distinct role in shaping economic outcomes. These channels encompass various mechanisms through which changes in financial conditions reverberate throughout the economy, influencing consumption, investment, and overall economic activity.

One such channel is the interest rate channel, wherein changes in monetary policy rates affect borrowing costs, investment decisions, and aggregate demand. Additionally, the credit channel operates through alterations in the availability of credit, impacting the spending behaviour of households and businesses. Moreover, the asset price channel operates via changes in asset prices, influencing wealth effects and consumer spending patterns.

Furthermore, the exchange rate channel comes into play through fluctuations in currency values, affecting trade balances, inflation dynamics, and monetary policy effectiveness. Finally, the confidence channel operates through changes in investor sentiment and perceptions of risk, influencing asset prices and financial market stability.

Understanding these channels of transmission is essential for policymakers and market participants alike, as they navigate the intricacies of the financial system and anticipate the impact of various shocks and policy measures on economic outcomes.

In conclusion, the role of financial intermediaries and the channels of transmission are integral components of the financial system, shaping the allocation of resources, the dynamics of economic activity, and the stability of markets. By comprehensively exploring these concepts, this unit aims to provide readers with a deeper insight into the mechanisms that drive financial intermediation and the transmission of financial activities.

Check Your Progress 1

- 1) What are the key channels underlying the transmission of financial activity in an economy?
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- 2) How does the Flexible Inflation Targeting framework influence the monetary policy approach in India?
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9.3 FINANCIAL INTERMEDIARIES AND MONETARY POLICY TRANSMISSION

Financial intermediaries play a pivotal role in the transmission of monetary policy, acting as conduits through which central bank actions influence economic variables such as interest rates, credit availability, and investment decisions. This section delves into the mechanisms through which different types of financial intermediaries facilitate the transmission of monetary policy, including commercial banks, non-banking financial institutions (NBFIs), and capital markets.

9.3.1 Commercial Banks

Commercial banks are the cornerstone of the financial system, serving as primary intermediaries between depositors and borrowers. In the context of monetary policy transmission, commercial banks play a critical role in channelling central bank actions to the broader economy. When central banks adjust policy rates, such as the discount rate or the federal funds rate (the RBI repo and reverse repo rates in India), commercial banks respond by adjusting their own lending and deposit rates accordingly. These changes in interest rates influence the cost of borrowing for businesses and consumers, thereby impacting investment and consumption decisions. Moreover, changes in central bank policy can affect the availability of credit, as commercial banks adjust their lending standards and loan portfolios in response to changes in monetary conditions. We will discuss more about Commercial banks in Unit 15.

9.3.2 Non-Banking Financial Institutions

Non-banking financial institutions (NBFIs), including insurance companies, pension funds, and mutual funds, complement the role of commercial banks in the financial system. While they do not engage in traditional deposit-taking activities, NBFIs play a crucial role in intermediating funds between savers and borrowers. In the context of monetary policy transmission, NBFIs influence the availability and cost of credit through their participation in financial markets. For instance, changes in central bank policy rates can impact the returns on fixed-income securities held by NBFIs, influencing their investment decisions and portfolio allocations. Additionally, NBFIs may engage in lending activities or provide liquidity through money market instruments, thereby transmitting monetary policy impulses to the broader economy. Non-banking financial intermediaries will be discussed in greater length in Unit 16.

9.3.3 Capital Markets

Capital markets serve as a vital channel for the transmission of monetary policy, providing avenues for the exchange of long-term securities such as stocks and bonds. Central bank actions can influence capital market conditions through changes in interest rates, liquidity provision, and signalling effects. When central banks adjust policy rates, they affect the

pricing of fixed-income securities, equity valuations, and the cost of capital for businesses. Moreover, central bank interventions in capital markets, such as open market operations and asset purchase programs, can influence market liquidity and risk appetite. These changes in capital market conditions impact investment decisions, asset prices, and overall economic activity, thereby transmitting monetary policy impulses throughout the economy. We will read more about Capital markets in Unit 12.

In summary, financial intermediaries play a crucial role in the transmission of monetary policy, channelling central bank actions to the broader economy through various mechanisms. By understanding the roles of commercial banks, non-banking financial institutions, and capital markets in the transmission process, policymakers and market participants can better anticipate the effects of monetary policy on economic variables and make informed decisions accordingly.

Check Your Progress 2

- 1) How do commercial banks contribute to the transmission of monetary policy in the economy?
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- 2) What role do non-banking financial institutions play in the transmission of monetary policy?
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- 3) How do central bank actions influence capital markets and their impact on the broader economy?
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9.4 CREDIT CHANNEL OF MONETARY POLICY TRANSMISSION

The credit channel of monetary policy transmission plays a pivotal role in the propagation of central bank actions throughout the economy, particularly influencing borrowing costs, credit availability, and investment decisions. This section explores the mechanisms through which the credit channel operates its impact on borrowing costs, and its implications for credit availability and investment.

9.4.1 Mechanisms of Credit Provision

The credit channel operates through various mechanisms by which changes in monetary policy conditions affect the provision of credit by financial intermediaries. When central banks adjust policy rates, commercial banks respond by recalibrating their lending rates and credit standards. Lowering policy rates stimulates borrowing activity by reducing the cost of funds for banks, which in turn lowers interest rates for borrowers. Conversely, tightening monetary policy leads to higher borrowing costs as banks adjust their lending rates upwards to maintain profitability and manage risk.

Additionally, changes in central bank liquidity provision and regulatory policies influence the overall availability of credit in the economy. For instance, central bank interventions in money markets and open market operations affect bank reserves and liquidity conditions, thereby influencing banks' ability to extend credit to households and businesses. Moreover, regulatory measures such as capital adequacy requirements and loan-to-value ratios impact banks' lending behaviour and the availability of credit across different sectors of the economy.

9.4.2 Impact on Borrowing Costs

The credit channel exerts a direct impact on borrowing costs, influencing interest rates on loans and other forms of credit extended to households and businesses. When central banks lower policy rates, borrowing costs decline, stimulating demand for credit and encouraging investment and consumption. Conversely, raising policy rates increases borrowing costs, dampening credit demand and slowing economic activity.

Moreover, changes in central bank policy rates influence the pricing of fixed-income securities and debt instruments in capital markets, affecting yields on corporate bonds, mortgage-backed securities, and other financial assets. These changes in asset prices and market interest rates further influence borrowing costs for businesses and consumers, shaping their investment and financing decisions.

9.4.3 Credit Availability and Investment

The credit channel also influences credit availability and investment decisions by affecting banks' willingness to extend loans and the overall supply of credit in the economy. Lowering policy rates encourages banks to expand their lending activities, leading to increased credit availability and easier access to financing for households and businesses. This, in turn, stimulates investment in productive activities, such as business expansion, capital expenditure, and housing construction.

Conversely, tightening monetary policy reduces credit availability as banks become more risk-averse and tighten their lending standards. This constriction in credit supply can impede investment and economic growth, leading to a slowdown in economic activity and a decline in asset prices.

Moreover, changes in credit conditions and the availability of financing can amplify the effects of monetary policy on aggregate demand, investment, and employment dynamics.

In summary, the credit channel of monetary policy transmission plays a crucial role in shaping borrowing costs, credit availability, and investment decisions in the economy. By understanding the mechanisms through which changes in monetary policy conditions influence the provision of credit by financial intermediaries, policymakers and market participants can better anticipate the effects of monetary policy actions on economic variables and adjust their strategies accordingly.

Check Your Progress 3

- 1) How does the credit channel of monetary policy transmission influence borrowing costs in the economy?
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- 2) What are the mechanisms through which changes in central bank policy rates affect credit availability?
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- 3) How does the tightening of monetary policy impact investment decisions and credit availability according to the credit channel?
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9.5 INTEREST RATE CHANNEL OF MONETARY POLICY TRANSMISSION

The interest rate channel of monetary policy transmission serves as a critical mechanism through which central bank actions influence economic activity by affecting interest rates across various financial markets. This section examines the influences on interest rates, the effects on consumption and investment, and the dynamics of the yield curve within the context of the interest rate channel.

9.5.1 Influences on Interest Rates

Central bank policy actions, such as changes in the target federal funds rate or the discount rate, exert direct influence on short-term interest rates. When

central banks lower policy rates, short-term interest rates decline as financial institutions adjust their lending and borrowing rates to reflect the prevailing monetary conditions. Conversely, raising policy rates leads to an increase in short-term interest rates as financial institutions adjust their rates upward to align with the tighter monetary stance.

Moreover, central bank communication and forward guidance play a crucial role in shaping market expectations regarding future monetary policy actions. Guidance regarding the future path of interest rates can influence longer-term interest rates, such as those on government bonds and mortgage-backed securities, by shaping investors' perceptions of future economic conditions and inflation dynamics.

Additionally, changes in central bank liquidity provision through open market operations and other unconventional policy tools can influence liquidity conditions in financial markets, impacting short-term interest rates and interbank lending rates.

In India, the interest rate channel stands out as the primary and most effective means of monetary transmission. Changes in monetary policy interest rates have direct repercussions across various financial market indicators, spanning short-term rates like call money rates to long-term products such as government and corporate bond yields. Notably, the call money rate often serves as a proxy for the policy rate due to its responsiveness to central bank actions.

When central bank policy rates adjust, they swiftly influence short-term money market rates, particularly the call money rate. Banks, aiming to optimize their reserves, typically transfer funds overnight to other banks only when the returns match or exceed those offered by depositing funds with the central bank. This dynamic directly impacts banks' cost of funds, shaping deposit and lending rates. Consequently, a reduction in policy rates triggers expectations of lower funding costs for commercial banks, spurring aggregate demand.

Lower lending rates, stemming from reduced funding costs, stimulate credit demand from various sectors, including households and businesses. This increased credit availability propels production, employment, and overall economic output. However, this process assumes healthy bank balance sheets capable of meeting the heightened demand for credit — a challenge exacerbated in India by the twin balance sheet problem, which hampers the efficacy of the transmission mechanism.

Moreover, low interest rates drive up asset prices, such as real estate and stock values. Cheaper borrowing costs incentivize demand for these assets, elevating their prices. Rising asset values augment asset holders' incomes and collateral value, enabling them to access more credit from banks. This intertwines with the bank lending channel, bolstering aggregate demand further.

Furthermore, a decline in domestic interest rates can lead to currency depreciation, enhancing export competitiveness and domestic demand, thereby stimulating economic activity. This interplay of channels underscores the multifaceted impact of monetary policy adjustments on the Indian economy.

9.5.2 Effects on Consumption and Investment

Changes in interest rates through the interest rate channel have significant implications for consumption and investment decisions by households and businesses. Lowering policy rates reduces the cost of borrowing for households, making consumer loans, such as mortgages and auto loans, more affordable. This stimulates consumer spending on durable goods and housing, leading to an increase in aggregate demand and economic activity.

Similarly, lower interest rates reduce the cost of borrowing for businesses, encouraging firms to invest in capital projects, expand operations, and undertake new ventures. This boost in investment spending contributes to higher productivity, job creation, and economic growth.

Conversely, raising interest rates increases borrowing costs for households and businesses, leading to a slowdown in consumer spending and investment activity. Higher interest rates also reduce the present value of future cash flows, impacting the valuation of financial assets and affecting wealth effects and consumer sentiment.

9.5.3 Yield Curve Dynamics

The interest rate channel also influences the dynamics of the yield curve, which depicts the relationship between interest rates and the maturity of debt securities. Changes in monetary policy conditions, such as shifts in short-term interest rates, can lead to movements along the yield curve, affecting the relative pricing of short-term and long-term debt securities.

Moreover, expectations regarding future monetary policy actions and economic conditions influence yield curve dynamics, leading to changes in the slope and shape of the yield curve. For instance, expectations of future interest rate hikes may steepen the yield curve, while expectations of rate cuts may flatten the curve.

Understanding yield curve dynamics is essential for investors, policymakers, and market participants, as it provides valuable insights into market expectations, inflation dynamics, and the economic outlook.

In summary, the interest rate channel of monetary policy transmission plays a crucial role in shaping interest rates, consumption and investment decisions, and yield curve dynamics. By influencing the cost of borrowing and the availability of credit, changes in monetary policy conditions transmitted through the interest rate channel have far-reaching implications for economic activity and financial markets.

Check Your Progress 4

- 1) How do central bank policy actions influence short-term interest rates according to the interest rate channel?

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- 2) What are the effects of lowering interest rates on consumption and investment decisions?

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- 3) Why is understanding yield curve dynamics important for investors and policymakers in the context of monetary policy transmission?

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9.6 ASSET PRICE CHANNEL OF MONETARY POLICY TRANSMISSION

The asset price channel of monetary policy transmission represents a mechanism through which central bank actions influence the prices of financial assets, such as stocks, bonds, real estate, and commodities. This section explores the impact of monetary policy on asset prices, the resulting wealth effects on consumer spending, and the implications for financial stability.

9.6.1 Impact on Asset Prices

Central bank policy actions, including changes in interest rates, liquidity provision, and unconventional policy measures, can exert significant influence on asset prices across various financial markets. Lowering policy rates, for instance, reduces the cost of borrowing and increases the present value of future cash flows, leading to higher asset valuations. This effect is particularly pronounced in equity markets, where lower discount rates enhance the attractiveness of stocks relative to other assets.

Moreover, central bank interventions in financial markets, such as quantitative easing programs and asset purchase programs, can directly impact the prices of specific assets targeted by these operations. By increasing demand for certain assets and reducing their supply, central banks can influence their prices and yields, thereby affecting the overall composition of investors' portfolios and asset allocation decisions.

Conversely, tightening monetary policy or signalling future interest rate hikes can lead to downward pressure on asset prices as investors adjust their expectations regarding future cash flows and discount rates.

9.6.2 Wealth Effects and Consumer Spending

Changes in asset prices transmitted through the asset price channel can have significant wealth effects on households, influencing their consumption behaviour and overall economic activity. Rising asset prices, such as increases in stock prices or home values, can boost household wealth and confidence, leading to an increase in consumer spending on goods and services.

This wealth effect operates through several channels. Firstly, higher asset prices increase the value of households' financial portfolios, leading to an increase in disposable income and wealth. Secondly, rising asset prices can lead to a "wealth effect" wherein households feel more financially secure and are thus more willing to increase their spending on discretionary items. Lastly, higher asset prices can stimulate borrowing against the increased value of collateral assets, further fuelling consumption and investment.

Conversely, declining asset prices can have the opposite effect, reducing household wealth and confidence, leading to a decrease in consumer spending and economic activity.

9.6.3 Implications for Financial Stability

While the asset price channel can stimulate economic activity through wealth effects and increased consumer spending, it also poses risks to financial stability. Rapid asset price appreciation, fuelled by loose monetary policy or excessive risk-taking behaviour, can lead to asset bubbles and subsequent market corrections.

Moreover, excessive reliance on asset price appreciation to drive economic growth can create vulnerabilities in the financial system, as asset prices may become disconnected from underlying fundamentals. A sharp reversal in asset prices can lead to financial distress for investors and institutions holding these assets, potentially triggering a broader financial crisis.

Central banks must carefully monitor asset price developments and consider the implications for financial stability when formulating monetary policy decisions. By striking a balance between supporting economic growth and maintaining financial stability, central banks can mitigate the risks associated with the asset price channel and promote sustainable economic expansion.

In summary, the asset price channel of monetary policy transmission influences asset prices, wealth effects, consumer spending, and financial stability. By understanding the dynamics of this channel, policymakers can better anticipate the effects of monetary policy actions on financial markets and the broader economy, thereby enhancing the effectiveness and resilience of monetary policy frameworks.

Check Your Progress 5

- 1) How do central bank policy actions influence asset prices according to the asset price channel?

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- 2) What are the wealth effects associated with rising asset prices, and how do they impact consumer spending?

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- 3) What are the potential risks to financial stability associated with the asset price channel of monetary policy transmission?

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9.7 EXCHANGE RATE CHANNEL OF MONETARY POLICY TRANSMISSION

The exchange rate channel of monetary policy transmission elucidates how central bank actions influence exchange rates, which in turn impact economic variables such as trade balances, competitiveness, and the external sector. This section delves into exchange rate dynamics, the effects on trade balance and competitiveness, and the implications for the external sector within the context of the exchange rate channel.

9.7.1 Exchange Rate Dynamics

Central bank actions, including changes in interest rates, monetary policy stances, and interventions in foreign exchange markets, play a pivotal role in shaping exchange rate dynamics. When central banks adjust policy rates, they influence interest rate differentials between countries, which can lead to changes in capital flows and exchange rate movements.

For instance, lowering policy rates relative to those of other countries can lead to a depreciation of the domestic currency as investors seek higher returns elsewhere. Conversely, raising policy rates can attract capital inflows, leading to an appreciation of the domestic currency.

Moreover, central bank interventions in foreign exchange markets, such as buying or selling domestic currency, can influence exchange rate levels and

volatility, particularly in the short term. These interventions are often aimed at smoothing exchange rate fluctuations or achieving specific policy objectives, such as maintaining price stability or supporting export competitiveness.

9.7.2 Trade Balance and Competitiveness

Changes in exchange rates transmitted through the exchange rate channel can have significant implications for trade balances and competitiveness. A depreciation of the domestic currency can make exports cheaper for foreign buyers and imports more expensive for domestic consumers, leading to an improvement in the trade balance and boosting export competitiveness.

Conversely, an appreciation of the domestic currency can make exports more expensive for foreign buyers and imports cheaper for domestic consumers, leading to deterioration in the trade balance and reducing export competitiveness.

Moreover, changes in exchange rates can affect the profitability of exporting firms and the competitiveness of domestic industries, influencing investment decisions, employment dynamics, and overall economic growth.

9.7.3 External Sector

The exchange rate channel also impacts the external sector through its effects on international trade, capital flows, and balance of payments dynamics. Exchange rate movements can influence the value of international assets and liabilities denominated in foreign currencies, affecting the external wealth position of countries and their ability to service external debt.

Moreover, exchange rate volatility can introduce uncertainty for businesses engaged in international trade and investment, affecting their risk management strategies and investment decisions.

Furthermore, changes in exchange rates can have spill over effects on other countries through trade linkages, financial markets, and global supply chains, contributing to international macroeconomic imbalances and cross-border policy coordination challenges.

In summary, the exchange rate channel of monetary policy transmission plays a crucial role in shaping exchange rate dynamics, trade balances, competitiveness, and the external sector. By understanding the dynamics of this channel, policymakers can better anticipate the effects of monetary policy actions on exchange rates and their implications for domestic and international economic variables, thereby enhancing the effectiveness of monetary policy frameworks and promoting macroeconomic stability.

Check Your Progress 6

- 1) How do central bank actions influence exchange rate dynamics according to the exchange rate channel?

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- 2) What are the effects of a depreciation of the domestic currency on trade balance and export competitiveness?

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- 3) How does exchange rate volatility impact the external sector and international trade dynamics?

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9.8 EFFECTIVENESS AND CHALLENGES OF MONETARY POLICY TRANSMISSION

Monetary policy transmission plays a critical role in achieving macroeconomic stability and promoting sustainable economic growth. However, policymakers face various challenges and limitations in effectively transmitting monetary policy impulses to the real economy.

9.8.1 Policy Effectiveness Assessment

Assessing the effectiveness of monetary policy transmission requires careful consideration of transmission mechanisms, lags, and uncertainties. Policy evaluation involves analyzing the impact of monetary policy actions on key economic variables, such as output, inflation, and financial stability, while accounting for other factors influencing economic outcomes.

Central banks employ a range of tools, including econometric models, scenario analysis, and forward-looking indicators, to assess the effectiveness of monetary policy and guide policy decisions.

In India, various studies have highlighted differing views on the primary transmission channel of monetary policy. Khundrakpam and Jain (2012) as well as Kapur and Behera (2012) assert the paramountcy of the interest rate channel. Conversely, Mitra et al. (2021) contend that in a banking-centric financial system like India's, the credit or bank lending channel holds greater sway. This viewpoint contrasts with Bernanke and Blinder (1992), who argue

that as financial markets gain prominence, the interest rate channel becomes more significant. These perspectives have influenced the operational approach adopted in India since 2000, as noted by Mitra et al. (2021).

9.8.2 Limitations and Constraints

Despite efforts to enhance policy effectiveness, monetary policy transmission faces limitations and constraints that can impede the achievement of policy objectives. These include the presence of structural rigidities, such as nominal wage and price rigidities, which can affect the responsiveness of output and inflation to monetary policy shocks.

Moreover, financial market frictions, information asymmetries, and behavioural factors can introduce delays and distortions in the transmission process, leading to suboptimal policy outcomes.

9.8.3 Adaptation to Changing Economic Conditions

Policymakers must continually adapt monetary policy frameworks and tools to address evolving economic conditions and emerging challenges. This entails monitoring changes in financial market dynamics, inflation expectations, and external factors that may affect the transmission of monetary policy.

Flexible and forward-looking policymaking, coupled with effective communication and coordination with other policy authorities, can enhance the resilience and effectiveness of monetary policy transmission mechanisms.

9.8.4 Coordination with Fiscal Policy

Coordination between monetary and fiscal authorities is essential to ensure the effectiveness of policy measures and mitigate potential conflicts or policy inconsistencies. Close collaboration between central banks and fiscal authorities can facilitate the alignment of monetary and fiscal policies to support economic recovery, stabilize financial markets, and address structural imbalances.

Moreover, coordination can enhance policy credibility, reduce policy uncertainty, and promote a more coherent and sustainable policy framework conducive to achieving macroeconomic stability and long-term growth.

In summary, understanding the implications, empirical evidence, and challenges of monetary policy transmission is crucial for policymakers, researchers, and market participants alike. By examining transmission mechanisms, evaluating policy effectiveness, and addressing challenges, policymakers can formulate informed policy responses to support economic stability and promote sustainable growth.

Check Your Progress 7

- 1) How do policymakers assess the effectiveness of monetary policy transmission mechanisms?

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- 2) What are some limitations and constraints faced by monetary policy transmission, according to the text?

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- 3) Why is coordination between monetary and fiscal authorities essential for ensuring the effectiveness of policy measures?

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9.9 LET US SUM UP

The Unit delves into the intricate mechanisms of monetary policy transmission, elucidating its theoretical framework and practical implications. It explores the roles of financial intermediaries and various transmission channels, including credit, interest rates, asset prices, and exchange rates. Through empirical evidence and analysis, it examines the effectiveness and challenges inherent in monetary policy transmission. The theoretical framework highlights the central role of monetary policy in influencing economic variables and recognizes the importance of transmission channels and expectations. Moreover, it discusses India's evolution of monetary policy frameworks, emphasizing the recent adoption of Flexible Inflation Targeting (FIT). Subsequent sections detail the roles of financial intermediaries and channels such as commercial banks, NBFIs, and capital markets in transmission. The credit channel, interest rate channel, asset price channel, and exchange rate channel are explored in depth, along with their impacts on borrowing costs, investment, consumption, and financial stability. The Unit concludes with discussions on empirical evidence, cross-country comparisons, and the effectiveness and challenges of monetary policy transmission, advocating for coordinated policy responses to promote economic stability and growth.

9.10 KEY WORDS

Monetary Policy Transmission

: The process through which changes in central bank policy instruments, such as interest rates, influence key economic variables like inflation, output, and employment.

- Financial Intermediaries** : Institutions that facilitate the flow of funds between savers and borrowers, such as banks, insurance companies, and pension funds.
- Transmission Channels** : Mechanisms through which monetary policy actions propagate their effects on the economy, including the interest rate channel, credit channel, asset price channel, and exchange rate channel.
- Flexible Inflation Targeting (FIT)** : A monetary policy framework aimed at maintaining price stability while supporting economic growth by targeting a specific inflation rate over a specified time horizon.
- Commercial Banks** : Financial institutions that accept deposits from the public and extend credit to borrowers, playing a crucial role in channelling central bank actions to the broader economy.
- Non-Banking Financial Institutions (NBFIs)** : Institutions that provide financial services but do not hold banking licenses, including insurance companies, pension funds, and mutual funds.
- Capital Markets** : Markets where long-term securities such as stocks and bonds are traded, serving as a vital channel for the transmission of monetary policy.
- Credit Channel** : A mechanism through which changes in monetary policy conditions influence the provision of credit by financial intermediaries, impacting borrowing costs, credit availability, and investment decisions.
- Interest Rate Channel** : A mechanism through which changes in central bank policy rates influence interest rates across various financial markets, affecting consumption, investment, and yield curve dynamics.
- Asset Price Channel** : A mechanism through which central bank actions influence the prices of financial assets, such as stocks and bonds, leading to wealth effects and implications for consumer spending and financial stability.
- Exchange Rate Channel** : A mechanism through which changes in central bank policy actions influence exchange rates, impacting trade balances, competitiveness, and the external sector.

9.11 SOME USEFUL BOOKS

- Woodford, M. 2003. *Interest and Prices: Foundations of a Theory of Monetary Policy*. Princeton: Princeton University Press.
- Jordi Galí, 2015. “Monetary Policy, Inflation, and the Business Cycle: An Introduction to the New Keynesian Framework and Its Applications Second edition,” Economics Books, Princeton University Press, edition 2, number 10495.

9.12 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) Interest rates, money supply, economic activity.
- 2) Framework, inflation target, India.

Check Your Progress 2

- 1) Lending, interest rates, reserves.
- 2) Finance, lending, intermediaries.
- 3) Liquidity, pricing, investment.

Check Your Progress 3

- 1) Loan availability, interest rates, borrowing.
- 2) Policy rates, lending standards, credit supply.
- 3) Investment, borrowing costs, tightening.

Check Your Progress 4

- 1) Short-term rates, central bank, policy changes.
- 2) Consumption, investment, interest rates.
- 3) Yield curve, expectations, economic conditions.

Check Your Progress 5

- 1) Asset prices, central bank, policy tools.
- 2) Wealth effects, consumer spending, asset prices.
- 3) Financial stability, risks, asset prices.

Check Your Progress 6

- 1) Central bank, exchange rates, policy influence.
- 2) Depreciation, trade balance, competitiveness.
- 3) Volatility, trade dynamics, external sector.

Check Your Progress 7

- 1) Effectiveness, evaluation, policymakers.
- 2) Constraints, limitations, transmission.
- 3) Coordination, monetary, fiscal, effectiveness.

9.13 TERMINAL QUESTIONS

- 1) How does the Flexible Inflation Targeting framework impact monetary policy in India?
- 2) What role do non-banking financial institutions play in transmitting monetary policy?
- 3) How do central bank actions affect capital markets and the broader economy?
- 4) What is the influence of the credit channel on borrowing costs in the economy?
- 5) How do changes in central bank policy rates affect credit availability?
- 6) What impact does monetary policy tightening have on investment decisions?
- 7) How do central bank actions influence short-term interest rates?
- 8) What are the effects of lowering interest rates on consumption and investment?
- 9) Why is understanding yield curve dynamics important for policymakers?
- 10) How do central bank actions influence asset prices?
- 11) How are the wealth effects associated with rising asset prices?
- 12) Why is coordination between monetary and fiscal authorities crucial for policy effectiveness?